CHART OF THE WEEK

8 April 2026

DEMAND SHOULD CONTRIBUTE LESS TO INFLATION IN 2026 THAN IN 2022 IN THE EUROZONE AND THE UNITED STATES

Stéphane Colliac

Will a different situation lead to different outcomes? In other words, will the combination of weaker demand and more moderate supply constraints in 2026, as compared to 2022, help to limit the rise in inflation? Having illustrated the impact of the energy shock caused by the war in the Middle East on six key variables in the Eurozone (see here), we now move on to a new comparison between these two dates, this time focusing on the relative levels of supply and demand issues. In the Eurozone, weaker demand has resulted in a more pronounced decline in inflation, unlike in the United States, where both demand and inflation have remained more sustained. In both regions, business climate surveys have recently shown a deterioration in some supply-side indicators (input prices), while demand indicators have not weakened yet. This asymmetry is likely to push inflation upwards in the coming months, albeit to a lesser extent than in 2022.

In the Eurozone, demand constraints are limiting the production, but supply constraints remain significant

PERCENTAGE OF BUSINESSES FACING DEMAND OR SUPPLY FACTORS LIMITING THEIR PRODUCTION

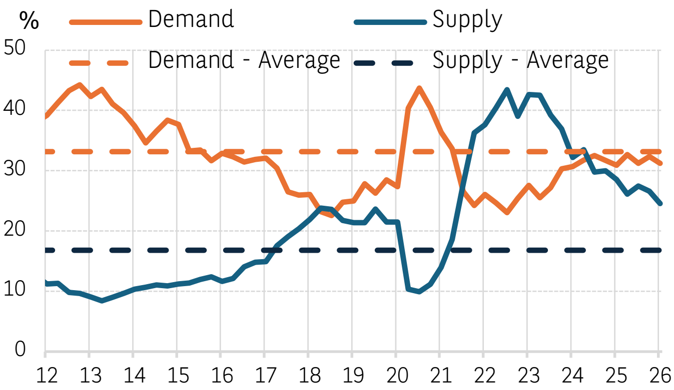

CHART 1

SOURCE: DG ECFIN, BNP PARIBAS

In the US, demand is contributing a bit more to inflation

DEMAND AND SUPPLY CONTRIBUTIONS TO PCE INFLATION

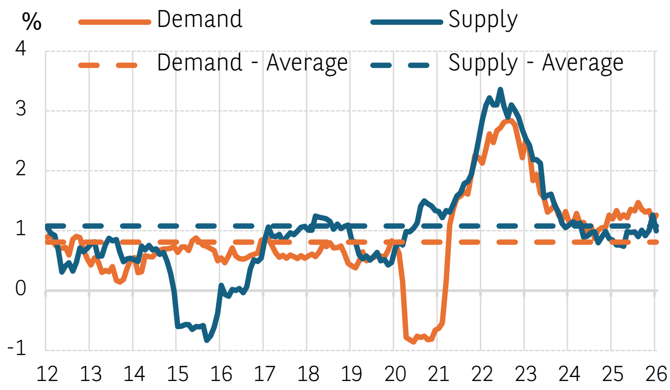

CHART 2

SOURCE: BEA, BNP PARIBAS

In the Eurozone, demand is exerting a downward pressure on inflation, unlike in 2022. The European Commission's survey shows to which extent supply constraints (such as shortages of inputs or labour, which drive inflation upwards) or demand constraints (which limit inflation) are affecting business output. The increase in supply constraints and the decrease in demand constraints, typical of the post-Covid period, were two factors that contributed to the acceleration of inflation at the time (10.6% y/y at its peak in October 2022). The level of these constraints in January 2026 allows for cautious optimism (*see Chart 1*). The lack of demand has exerted a greater influence than supply since mid-2024, while supply-side constraints have continued to ease. This trend has allowed inflation to return to the ECB's 2% target. However, it has not fallen below this target, as supply constraints, despite their reduction, remain significantly higher than the historical average. Furthermore, while harmonised inflation rose by 0.6 percentage points to 2.5% year-on-year in March (at this stage, only due to the rise in fuel prices), the conflict in Iran could well trigger a resurgence of these constraints, as indicated by the rise in input price indices in business climate surveys. These same surveys do not currently indicate that these pressures are being passed on to selling prices by the end of Q2, but this may occur in the longer term, which would then suggest a rebound in core inflation.

In the United States, demand plays a more significant role in inflation, but less so than in 2022. In the absence of a survey similar to that conducted by the European Commission, we use a different method to compare the impact of supply and demand (*see Chart 2*): we examine the direct contributions of supply and demand to inflation dynamics based on a breakdown between these two factors, as provided by the Bureau of Economic Analysis (using a methodology developed by A. Shapiro from the San Francisco Fed). Although significantly lower than in 2022, the contribution of supply to inflation is not negligible and plays roughly the same role as in 2018–19. These constraints even appear to have increased slightly since the Trump administration's tariff hikes and are likely to rise further with the recent rebound in input prices and delivery times. The contribution of demand to inflation continues to be more substantial, reflecting the resilience of consumption (and its post-Covid outperformance; see our analysis). However, this momentum has been moderating in recent months, against a backdrop of a deteriorating labour market.

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Inflation is expected to rise due to increased supply constraints, before easing. In both regions, the war in Iran is likely to trigger a resurgence in supply constraints, although probably less than in 2022. Nevertheless, these constraints are expected to push inflation higher, while the negative effects of the conflict on demand would take longer to materialise, as would their disinflationary effects.

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REFINED PETROLEUM PRODUCTS: SHOULD WE BE WORRIED ABOUT SHORTAGES IN EUROPE?

The war in the Middle East has caused significant disruptions in the market for refined petroleum products, affecting not only Asia but also Europe. For the time being, the situation in Europe remains under control, largely thanks to stock levels that provide visibility for around one month. Nevertheless, Europe's dual reliance on suppliers in the Gulf and Asia calls for caution. Supply status in the European market will be influenced by geopolitical developments in the Gulf and whether Asian producers choose to prioritise supplying their domestic markets.

MARKET UPHEAVALS HAVE RESULTED IN SHARP PRICE RISES

More than a month after the outbreak of the conflict in the Middle East, the repercussions for the hydrocarbons market are profound: an almost complete halt to flows through the Strait of Hormuz (accounting for around 10% of global crude oil consumption and around 5% of refined products); damage to production capacity in certain Gulf countries (17% of Qatar's LNG production capacity, which supplies around 20% of the global market, and 43% of the Gulf's refining capacity have been damaged to varying degrees); and a sharp rise in prices for all products, whether crude or refined.

While disruptions have so far mainly affected supply flows, the end of the delivery period for shipments from the Gulf region that left before the outbreak of the conflict means that the risk of physical shortages of certain products is growing. This is particularly true for motor fuels among refined products, where price rises are much steeper than those for crude oil. Wholesale gasoline prices have risen across all markets, but the most significant increases have been in diesel and jet fuel, whose supply chains are much more constrained by the ongoing disruptions. Wholesale diesel prices have doubled in Europe and tripled in Asia, while jet fuel prices have doubled in Europe and increased by a factor of 2.5 in Asia. In the United States, the increase has so far been relatively contained, with wholesale prices for these fuels rising by around 50%.

Regardless of the conflict's trajectory, this precarious situation in the markets is likely to worsen in the coming weeks. Indeed, even in a very optimistic scenario of a swift resolution to the conflict, it is understood that a return to the normal functioning of the hydrocarbon market will be a gradual process, taking several weeks or even several months. In this context, one might wonder about the possibility of a physical disruption to the supply of these refined products in Europe.

EUROPEAN STOCK LEVELS OFFER ONLY A TEMPORARY SOLUTION IN THE EVENT OF A PROLONGED DISRUPTION TO SUPPLY FLOWS

An initial indication can be found in the stock level available in Europe. For all OECD member countries in Europe, diesel stocks are equivalent to 71 days' consumption, while jet fuel stocks account for 50 days. However, the diesel stocks in Spain and Portugal only cover around one month's consumption. The United Kingdom, in particular, raises concerns, as it has some of the lowest diesel and jet fuel stock levels in Europe (20 and 31 days respectively).

THE GROWING DEPENDENCE ON ASIA IS INCREASING EUROPE'S VULNERABILITY

The second factor in the equation is Europe's dependence on imports of refined products. The evidence is unequivocal: over the past twenty years, there has been a massive shift in refining capacity from Europe to Asia, and to a lesser extent, to the Middle East. Since 2000, European refining capacity has fallen from 22% to 14% of the global total, while in Asia, it has risen from 26% to 36% over the same period. In volume terms, these capacities have fallen by 17% in Europe and risen by 74% in Asia. This trend is largely due to more favourable refining margins in Asia. Given an average 1% increase in European consumption of these products over the same period, Europe's dependence on imports of refined products has grown.

REFINED PRODUCTS INVENTORIES IN DAYS OF CONSUMPTION

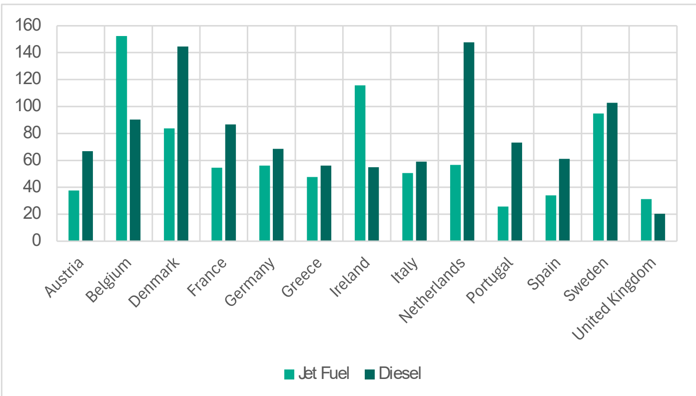

CHART 1 SOURCE: JODI, BNP PARIBAS

REFINIG CAPACITY (VOLUME, INDEX 100=2000)

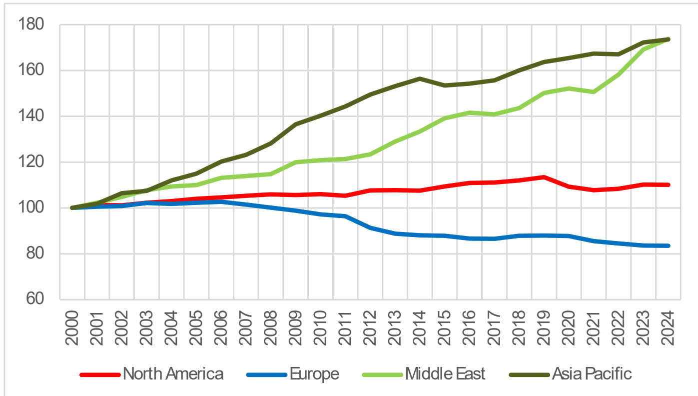

CHART 2 SOURCE: : ENERGY INSTITUTE, BNP PARIBAS

In terms of jet fuel, European dependence is low (4%), whereas it is much higher for diesel (35%). However, similar to the available stocks indicator, this situation varies greatly from country to country. For jet fuel, dependence is high (over 50%) in Denmark, France, Italy and Sweden. As for diesel, France's dependence is quite significant (38%), and higher than in most other countries. Nevertheless, it is the United Kingdom that stands out here, with a dependence of 76% for jet fuel and 34% for diesel. To make matters worse, Kuwait supplies 38% (in 2024) of the jet fuel imported by the UK, while Asia and the Middle East collectively account for 81% of these imports.

Beyond this overall dependency indicator, it is important to consider Europe's dependency on Asia as a whole, rather than solely focussing on the Gulf region, in order to better assess its vulnerability. In 2025, Asia and the Middle East supplied 23% of European diesel imports and 90% of jet fuel imports. Given that Asian refineries are heavily dependent on crude oil from the Middle East (over 60% of their imports are sourced from the Middle East) and the sustained growth in the consumption of refined products (an average of +2.5% per year since 2000), tensions in the Asian refined products market are intensifying.

In this context, European imports from Asia are highly vulnerable. Due to the limited availability of Gulf crude oil, some Asian refineries are having to reduce their production rates, and some countries are prioritising domestic consumption over exports. For instance, China virtually halted its fuel exports a few days after the conflict began. Compounding Europe's vulnerability, the price disparities between Asia and Europe are encouraging shipments from other producing regions to prioritise the Asian market.

NO PHYSICAL CONSTRAINTS AT THIS STAGE, BUT VISIBILITY IS GRADUALLY DIMINISHING

Currently, it is very difficult to determine when physical supply issues for diesel and jet fuel will arise in Europe. Disruptions in the refined products market and their impact on the wider economy begin with sharp price rises, which trigger varying degrees of demand adjustments that gradually permeate different segments of this demand based on their level of elasticity. Furthermore, we are seeing instances of demand destruction, driven by political decisions (such as the rationing measures currently in place in some Asian countries) or the temporary suspension of certain activities (a decision already taken by airlines in Asia, which have announced the temporary suspension of their least profitable air routes under current conditions). Finally, the lack of available product is physically constraining demand.

In Europe, we are still at the stage where prices impact demand and government interventions aim to bolster purchasing power. Inflation in the eurozone rose significantly in March (+2.5% y/y compared with +1.9% in February) due to rising energy prices. For the time being, this increase is lower than that recorded during the 2022 energy crisis, and the rebound in core inflation is not expected to occur until the second half of the year. Nevertheless, the fuel market will continue to tighten in the coming weeks, with some experts in the European aviation sector expressing concerns over a lack of visibility regarding fuel availability beyond a 5 to 6-week timeline. However, the rapid deterioration of the situation in Asia could bring this timeline forward.

WHAT ARE THE PROSPECTS?

In the short term, European governments will have to strike a delicate balance in their crisis management: they need to act to anticipate shortages, but without triggering panic among consumers, as this would only exacerbate the situation. Two key elements appear crucial to us in this approach: the ability to prioritise needs and the promotion of European solidarity. We have indeed observed significant disparities in levels of vulnerability.

In the medium to long term, it will certainly be necessary to learn lessons from this crisis, and three possible avenues (among others) seem viable. As is often the case when it comes to increasing European energy sovereignty, progress will occur gradually and over an extended period.

Actions regarding stockpiles may play a positive role, but will only marginally reduce Europe's vulnerability. If we apply the European standards for energy security – namely, covering 61 days' consumption through available stocks or 90 days' net imports – these standards are met for diesel (except in the United Kingdom) and there is some leeway for jet fuels in a number of European countries.

Only a highly proactive industrial policy, which prioritises economic security (albeit at the expense of decarbonisation efforts) and includes government support, will enable the return of significant production capacity to Europe. Refining is an energy-intensive activity, and the Middle East and Asia enjoy significant comparative advantages, whether due to access to abundant and cheap energy or government policies that favour low-cost energy for industry. For more than twenty years, a comparison of refining margins has consistently shown that Europe is at a disadvantage compared to Asia or the United States.

The geographical diversification of supply sources (excluding the Middle East and Asia) is rather limited in the short term. Apart from Russia, only the United States has significant production capacity (18% of global capacity in 2024).

Europe's susceptibility to the vagaries of the refined products market underscores the urgency of pursuing and expediting the low-carbon transition at European level. The electrification of end-use sectors, particularly in transport, appears to be an obvious means of reducing dependence on road fuels, even though this dependence will continue to be considerable in the medium term. Regulatory uncertainties may have slowed this progress towards the electrification of transport, but recent developments seem promising. Furthermore, as we demonstrated in a previous article[1], progress in the low-carbon transition does not necessarily translate into increased energy sovereignty.

With regard to aviation fuel, the development of production capacity for sustainable aviation fuels (SAF) is a crucial means of enhancing energy sovereignty, as it relies on local resources (notably biofuels or renewable energy for synthetic fuels). Nevertheless, this is only a viable solution in the long term. Currently, these types of fuel are still very expensive, the technical challenges are significant, and prices are still tied to those of petroleum products.

Pascal Devaux

(With the help of Clara Ngo Ba Do, intern.)

1 European Union: low-carbon transition and energy sovereignty, a path fraught with obstacles

ECONEWS

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INTERNATIONAL TRADE

New tariffs for the pharmaceutical sector and reduced tariffs for steel and aluminium. President Trump has announced a 100% tariff on 'patented pharmaceuticals and associated pharmaceutical ingredients' under Section 232 of the Trade Expansion Act. These duties will be reduced to 15% for the EU, Japan, South Korea and Switzerland under agreements concluded in 2025. Companies that have negotiated an agreement with the Department of Health will not be taxed; however, those planning to relocate their production to the United States will be taxed at 20% for four years (after which the rate will revert to 100%). Tariffs on steel and aluminium, typically set at 50%, may be reduced depending on the product's intended use (e.g. 15% for industrial equipment until 2027), its composition (25% customs duty applies if the product contains over 15% steel/aluminium/copper, 0% if it contains less), the origin of the metal (10% if US-sourced) or the product itself (25% for imports from the UK). The moratorium on e-commerce has expired, as the WTO Ministerial Conference failed to reach an agreement on its extension.

ADVANCED ECONOMIES

UNITED STATES

Strong employment performance, but the energy shock is beginning to take its toll. In March, payroll employment rose by 178k (a figure not seen since late 2024, averaging 68k in Q1), and the unemployment rate fell to 4.3%. The ISM manufacturing index has held steady for three months at an average of 52.6 (52.7 in March, +0.3 m/m). The non-manufacturing index remained high at 54, but has deteriorated (down 2.1 m/m) under pressure from the 'business activity' and 'employment' components. In both surveys, supplier delivery times were lengthening (up 3.8 and 2.7 m/m to 58.9 and 56.0 respectively), and the input price index has reached its highest levels since 2022 (78.5 and 70). Consumer confidence (Conference Board) improved to 91.8 (+0.8 m/m), but 1-year inflation expectations rose (+6.2%, +0.7pp). Retail sales rebounded (+0.6% m/m) due to tax refunds, but this momentum should be viewed in context (+3.7% y/y in nominal terms, with inflation at +2.4% y/y). Fed Chair Powell confirmed that the current monetary policy stance is appropriate and reiterated that the rise in inflation risks is coupled with ongoing employment risks. The Fed futures market indicates a 15% likelihood of a rate hike before the end of 2026 (compared with 70% in the week of 23 March). *Upcoming: Q4 2025 GDP (Friday), CPI inflation (Friday), durable goods orders (Tuesday), FOMC minutes (Wednesday), consumer confidence (Michigan, Friday).*

EUROZONE

Inflation driven up by energy in March, otherwise down. Harmonised inflation rebounded to 2.5% y/y in March (1.9% in February) and reached 1.2% m/m (including +6.8% m/m for energy). Other components slowed: food at 2.1% y/y (-0.1pp), services at 3.2% y/y (-0.2pp) and goods at 0.5% y/y (-0.2pp). The composite PMI (-1.2 m/m to 50.7) was dragged down by the deterioration in services (50.2; -1.7), while the manufacturing PMI rose (+0.8 m/m to 51.6). *Upcoming: retail sales and producer prices (Wednesday).*

- France: Rising fuel prices are impacting inflation and public finances while accelerating the transition to low-carbon energy. Harmonised inflation reached 1.9% y/y in March (1.1% in February) due to rising fuel prices. Manufacturing output was stable in February (+0.2 m/m in January). The composite PMI fell to 48.8 in March (-1.1 m/m), weighed down by services (48.8; -0.8 m/m). The manufacturing PMI remained stable. The government estimates that the rise in interest rates is likely to cost public finances EUR 3.6 billion (0.1% of GDP) in 2026 (due to higher rates on short-term debt, particularly social security debt, and the impact of rising inflation on index-linked bonds). The rise in fuel prices contributed EUR 270 million to public finances in March (EUR 120 million from higher VAT receipts, EUR 150 million from increased purchases, with a likely knock-on effect in April). In 2022, the consumption of petroleum products decreased by 7.5% in volume (reaching its lowest level by the end of 2023), but the decline was minimal in the first few months. The share of electric vehicles rose to 28% of car registrations in Q1 (vs. 20% in 2025), aiding the recovery in registrations in March (+13% y/y, but -2% y/y in Q1). The government has launched tenders to add renewable energy generation capacity, aiming to reach the equivalent of 10 EPR2 reactors in offshore wind by 2035. The government has also announced a new loan scheme for businesses in the transport, agriculture and fisheries sectors, where fuel costs exceed 5% of turnover. *Upcoming: foreign trade (Wednesday).*

- Germany: Energy-driven inflation. Harmonised inflation reached a high not seen since January 2025 in March, at +2.8% y/y, driven by energy prices (+7.2% y/y). Core inflation remained stable at 2.5%. The manufacturing PMI reached 52.2 (+1.2 m/m) in March, bolstered by production, new orders and delivery times, which were at their highest since July 2022. The input price index rose sharply, although it remained lower than in 2022. The services PMI (50.9; -2.6 m/m) negatively impacted the composite PMI (-1.3 m/m to 51.9). The unemployment rate remained stable at 4% in March. *Upcoming: industrial orders (Wednesday), foreign trade and industrial production, new car registrations (Thursday), inflation (Friday).*

- Italy: Harmonised inflation remains stable at 1.5% y/y (+1.6% m/m). The slowdown in core inflation (1.9% y/y, -0.8pp, a knock-on effect of the Olympics) offsets the rebound in energy prices. The European Commission's Economic Sentiment Indicator (ESI) fell by 1.3 points m/m but remained above its historical average. Household confidence declined (-5 points m/m). The manufacturing PMI rose to 51.3 (+0.7 m/m), bolstered by inventories. The decline in the services PMI (-3.5 m/m to 48.8) negatively impacted the composite index (-2.9 m/m to 49.2). The unemployment rate remains low (5.3% in February; -0.9 pp y/y). *Upcoming: industrial production (Friday).*

JAPAN

Businesses are optimistic. The Tankan business sentiment index has reached its highest level since 1991, now standing at 18 (+1 point). This improvement is widespread (+4 points y/y for large manufacturing firms). However, industrial production and retail sales fell by -2.1% and -2% m/m respectively in February, following increases of +4.3% and +3% m/m in January. *Upcoming: wages (Tuesday), consumer confidence (Thursday).*

UNITED KINGDOM

Inflation expectations rebound. Businesses raised their one-year inflation expectations by 0.5 percentage points to 3.5% (according to the BoE). PMI figures fell in March to 51 (-0.7 m/m) for manufacturing, 50.3 for the composite index and 50.5 for services (-3.4 m/m for both). Growth was confirmed at +0.1% q/q in Q4 (1.4% in 2025), bolstered by both private and public consumption as well as public investment.

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EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Sharp fall in PMI indices in the Gulf region in March. In the United Arab Emirates, the index remains in expansionary territory (at 52.9, down from 55 in February) but has reached its lowest level since June 2021. This is also the third-largest monthly fall, which highlights the difficulties faced by the non-oil private sector in the face of the conflict. Confidence is at its lowest level since early 2021. **The impact is even more pronounced in Saudi Arabia**, where the PMI fell to 48.8 in March from 56.1 in February. This is the first time since August 2020 that it has fallen below the 50 mark.

Qatar: The Central Bank is supporting the banking system. In particular, the reserve requirement ratio on deposits has been reduced from 4.5% to 3.5%, allowing banks to offer their customers the option to defer payments for a period of three months.

ASIA

March PMIs signal the impact of the war in the Middle East on prices and activity. In the vast majority of Asian countries, manufacturing PMIs fell in March but remained in expansionary territory. The decline in the 'new orders' and 'production' sub-components is explained by supply constraints and a downturn in demand prospects. The input prices sub-index rose on average from 56.9 in February to 61.4 in March. The decline in manufacturing PMIs was most pronounced in India (PMI at 53.8), the Philippines (51.3), Taiwan (53.3) and Vietnam (51.2), as they are particularly vulnerable to the impact of the blockage of the Strait of Hormuz on their fuel supplies. At the same time, demand for AI-related goods remains very strong and is bolstering industrial activity, particularly in South Korea (PMI up to 52.6 in March). In China, RatingDog's manufacturing PMI fell but remained above 50, while the official PMI rose slightly to 50.4; the sub-indices for input and output prices recorded the strongest increases.

South Korea: The government has announced economic support measures amounting to nearly 1% of GDP. These measures are primarily aimed at easing the financial burden on households and small businesses that are vulnerable to rising energy prices, by capping fuel prices and building up naphtha reserves. Total public expenditure is expected to rise by nearly 12% in 2026 (8% in the initial budget). The public deficit forecast remains unchanged (less than 2% of GDP): the additional expenditure will be financed by the tax revenue surplus, largely linked to corporation tax from the export sector (in Q1, exports rose by 37% year-on-year in value terms).

India: The central bank is supporting the rupee. Having banned banks from holding net open daily foreign exchange positions exceeding USD100m at the end of last week, the RBI is now prohibiting them from offering non-deliverable forward (NDF) contracts in rupees. This action aims to mitigate the volatility of its currency (-4% against the USD in March).

EMERGING EUROPE

PMI indices are sending mixed signals. The impact of the conflict in the Middle East is barely noticeable. In Poland and Romania, the manufacturing PMI remains in contraction territory but improved slightly in March (Poland: 48.7; Romania: 46.6). In the Czech Republic and Hungary, PMI indices remain above 50. They rose in the Czech Republic but fell in Hungary. New orders are declining across the region (excluding the Czech Republic).

Currencies tended to appreciate last week. In the region, the Hungarian forint appreciated the most against the euro and the dollar. However, it continues to be the worst-performing currency since the beginning of the war, depreciating by 2.1% against the euro and 4.3% against the dollar.

In Romania, the leu remained stable against the euro. According to Bloomberg, the Central Bank intervened in the foreign exchange market with around EUR 1 billion to support its currency.

Poland: Inflation accelerated in March (+3% y/y, compared with 2.1% in February), mainly due to rising fuel prices. By contrast, food inflation slowed over the same period (+2% y/y vs. 2.4% in February).

Türkiye: Sharp month-on-month disinflation in March (+1.9% after +3% in February and +2.5% a year earlier in March 2025). The 'transport' category recorded the sharpest rise (+4.5% month-on-month), driven by rising fuel prices despite a tax reduction implemented on 5 March. Inflation in housing services was limited to 1.9% month-on-month. Year-on-year, the headline inflation rate stands at 30.9% and core inflation at 29.7%.

LATIN AMERICA

In March, PMIs remained in contraction territory in Brazil, Colombia and Mexico. New orders rose slightly in Colombia, while they continued to deteriorate in Brazil and Mexico, reflecting strains on demand and inflationary pressures linked to rising energy prices.

Colombia: Key interest rate raised by 100 basis points to 11.75%. This decision by the Central Bank was expected given the highly inflationary environment. Inflation reached 5.3% year-on-year in February (exceeding 5% for the seventh consecutive month). Pressures have been exacerbated by the increase in the minimum wage (+23% on 1 January) and rising energy prices. Although Colombia is a net exporter of crude oil, the country imports significant quantities of gas and fertilisers. Further rate hikes are expected in 2026.

COMMODITIES

The Strait of Hormuz is at the centre of attention. Iran is seeking ways to maintain its control over the strait and is in discussions with Oman regarding the introduction of a 'toll' and licensing system for ships passing through. Around 40 governments met on Thursday 2 April, at the UK's suggestion, to consider a solution to ensure the free flow of maritime traffic. The United Nations Security Council is due to meet on Tuesday 7 April to vote on a draft resolution put forward by the Gulf states aimed at protecting ships as they pass through the strait. The outcome of the vote is uncertain and could lead to an escalation, with threats from Iran and warnings from other countries, including France and China. Attacks on ships sailing near the Strait (Dubai, Qatar) continue, as do strikes on energy infrastructure in the Gulf. including the Minal al-Ahmadi refinery in Kuwait, the Habshan gas facility in Abu Dhabi (UAE) and the Iranian steel plant in Mobarakeh. However, 21 ships were able to pass through the Strait of Hormuz this weekend.

Tensions over supply flows remain high. Russia is extending its restrictions on petrol exports to oil producers until 31 July. Until now, the restrictions had only applied to retailers. It is estimated that around 40% of Russia's export capacity is affected by these restrictions.

OPEC+ member countries are maintaining their production increase programme and are forecasting a rise of 206,000 barrels per day by May 2026. Given that flows are still restricted due to the closure of the Strait of Hormuz, the increase announced on 5 April at their monthly meeting has had a limited effect.

The price of Brent is currently around USD 109/bbl.

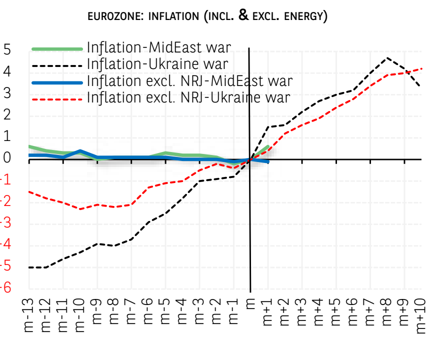
FOCUS EUROZONE

Will the same causes produce the same effects? To track the impact of the new energy shock—triggered by the war in the Middle East—on economic activity and prices in the eurozone, and to assess how closely the current situation resembles that of 2022 when the conflict in Ukraine broke out, we have selected two measures of inflation (including and excluding energy) and six survey data points. Risks and uncertainties abound, but it is clear that the economic context in which this new energy shock is unfolding is less inflationary than in 2022. The assessment of the initial available data is relatively positive: the reaction in surveys and inflation is, for now, limited, and trends are generally less unfavorable in March 2026 than in March 2022. However, it is highly likely that the observed deterioration will continue: the question is one of its magnitude. This series of charts will be updated regularly for this purpose.

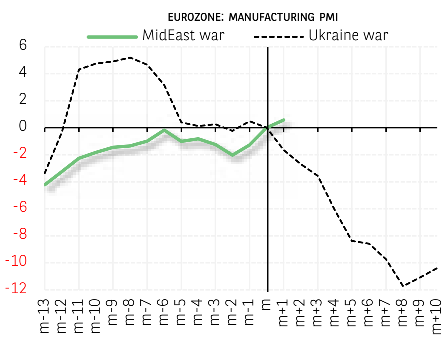
Read the Chart of the week of Hélène Baudchon

Middle East war: a more limited impact, for now, on Eurozone inflation and confidence than at the onset of the Ukraine war

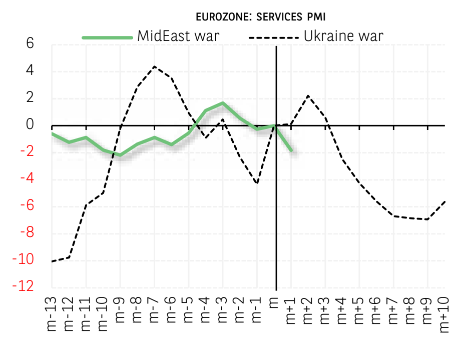
March 2026: a more limited inflation rebound



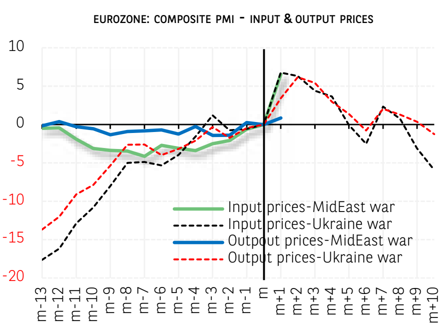
March 2026: business confidence in the manufacturing sector remains well oriented



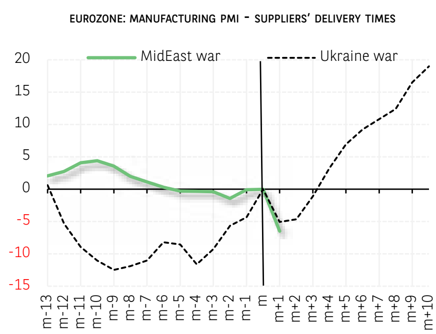
March 2026: business confidence in services on a downtrend



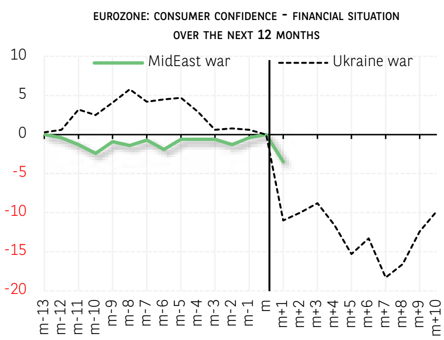
March 2026: input prices rose but not output prices



March 2026: delivery times eased



March 2026: consumer confidence less affected



Change since m = 0 = February 2026 / February 2022

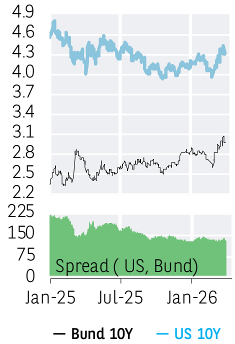
SOURCE: EUROSTAT, EUROPEAN COMMISSION, MACROBOND, BNP PARIBAS

MARKETS OVERVIEW

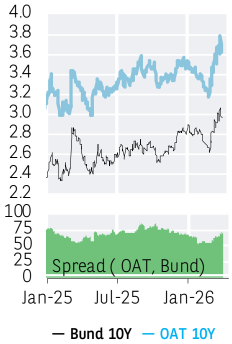
Bond Markets

	in %	in bps			
	02/04/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2,59	-5,0	+54,8	+50,3	+54,3
Bund 5Y	2,70	-9,3	+41,4	+23,6	+40,8
Bund 10Y	2,97	-10,3	+30,1	+10,7	+27,8
OAT 10Y	3,62	-16,6	+39,6	+12,7	+37,3
BTP 10Y	3,84	-17,7	+53,7	+34,4	+22,0
BONO 10Y	3,48	-6,5	+43,7	+23,0	+23,7
Treasuries 2Y	3,81	-14,0	+30,0	+32,5	-10,0
Treasuries 5Y	3,94	-12,5	+31,9	+21,5	-0,7
Treasuries 10Y	4,31	-1,2	+26,6	+14,1	+3,2
Gilt 2Y	4,33	-15,3	+69,2	+57,2	+15,9
Treasuries 5Y	4,39	-15,9	+50,9	+53,8	+12,8
Gilt 10Y	4,84	-3,9	+46,7	+47,6	+17,2

Bund 10Y & US Treas. 10Y



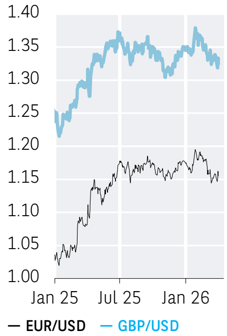
Bund 10Y & OAT 10Y



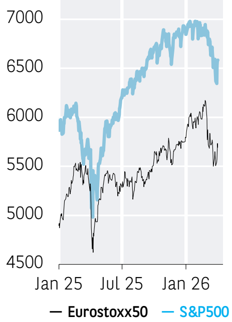
Currencies & Commodities

	Level	Change, %			
	02/04/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1,16	+0,3	-1,1	-1,6	+6,4
GBP/USD	1,32	-0,4	-1,0	-1,5	+2,2
USD/JPY	159,37	-0,5	+1,0	+1,7	+6,4
DXY	100,03	-0,1	+1,7	+1,7	-3,6
EUR/GBP	0,87	+0,6	-0,2	-0,1	+4,2
EUR/CHF	0,92	+0,5	+1,2	-0,8	-3,7
EUR/JPY	184,08	-0,2	-0,1	-0,0	+13,2
Oil, Brent ($/bbl)	108,88	-4,0	+40,0	+78,9	+44,3
Gold ($/ounce)	4672	+3,2	-11,8	+8,0	+49,5

EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Equity Indices

	Level	Change, %			
	02/04/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4314	+3,2	-4,8	-2,6	+17,6
North America					
S&P500	6583	+3,4	-4,3	-3,8	+16,1
Dow Jones	46505	+3,0	-4,9	-3,2	+10,1
Nasdaq composite	21879	+4,4	-3,8	-5,9	+24,3
Europe					
CAC 40	7962	+3,4	-5,1	-2,3	+1,3
DAX 30	23168	+3,9	-6,0	-5,4	+3,5
EuroStoxx50	5693	+3,4	-4,9	-1,7	+7,3
FTSE100	10436	+4,7	-3,2	+5,1	+21,2
Asia					
MSCI, loc.	1763	-0,4	-6,6	+4,4	+27,8
Nikkei 225	52463	-1,7	-9,6	+4,2	+46,8
Emerging					
MSCI Emerging ($)	1434	-0,2	-9,5	+2,1	+29,0
China	76	+0,1	-4,9	-7,8	+2,3
India	894	+1,3	-10,1	-15,6	-9,5
Brazil	1974	+4,6	-0,3	+19,9	+47,5

Oil, Brent ($/bbl)

Gold ($/ounce)

Performance by sector

Eurostoxx600

Year 2026 to 2-4, €

+35,1%	Oil & Gas
+16,9%	Telecoms
+16,5%	Utilities
+13,8%	Commodities
+6,3%	Chemical
+0,7%	**Eurostoxx600**
+0,1%	Industry
-0,5%	Food industry
-1,0%	Health
-1,7%	Real Estate
-2,6%	Insurance
-3,0%	Technology
-3,5%	Construction
-4,1%	Banks
-5,0%	Financial services
-7,9%	Retail
-10,0%	Travel & leisure
-16,5%	Consumption Goods
-17,0%	Media

S&P500

Year 2026 to 2-4, $

+32,5%	Energy
+13,5%	Retail
+10,7%	Telecoms
+10,6%	Materials
+9,1%	Capital Goods
+8,6%	Utilities
+5,0%	Food, Beverage & Tobacco
+0,3%	Tech. Hardware & Equip.
-0,2%	Semiconductors
-1,2%	Pharmaceuticals
-3,8%	**S&P500**
-6,0%	Insurance
-7,0%	Consumer Services
-7,1%	Consumer Discretionary
-7,3%	Media
-7,4%	Bank
-10,4%	Commercial & Pro. Services
-11,6%	Healthcare
-18,9%	Automobiles
-24,7%	Real Estate

MSCI World ($)

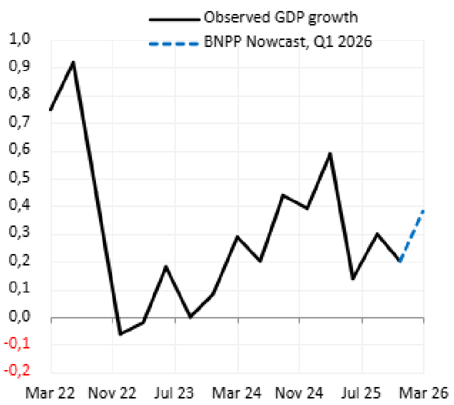
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 7 April 2026

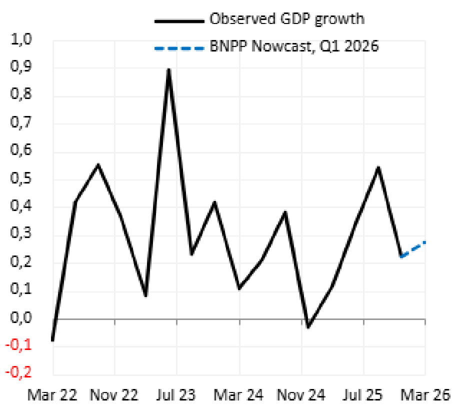
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



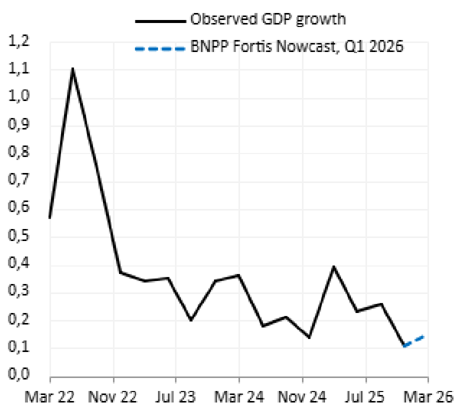
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry. The decline in consumer confidence in March is not expected to weigh on Q1 GDP, but rather on Q2.

Business sentiment at its lowest level in 10 months and the cooling down of the labor market have led to a downward revision of our nowcast for Q1 Belgian GDP growth (from 0.3% to 0.15%). In parallel, business transactions (a proxy for activity levels) are trending down again since a couple of weeks.

Read the Nowscast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2,8	2,1	2,7	2,0	2,9	2,7	3,2	2,7
Japan	0,1	1,2	0,8	0,9	2,7	3,1	1,9	2,5
United Kingdom	1,1	1,3	0,6	-	2,5	3,4	3,6	3,3
Euro Area	0,9	1,5	1,6	1,6	2,4	2,1	1,9	2,3
Germany	-0,5	0,4	1,4	1,5	2,5	2,2	1,6	2,3
France	1,1	0,9	1,3	1,3	2,3	1,0	1,1	1,5
Italy	0,5	0,7	1,0	0,9	1,1	1,7	1,5	1,9
Spain	3,5	2,8	2,5	2,3	2,8	2,7	2,3	1,9
China	5,0	5,0	4.7	4.5	0,2	0,1	0,9	1,0
India*	7,1	7,6	7,0	6,8	4,6	2,1	4,1	4,3
Brazil	3,4	2,2	1,8	1,4	4,4	5,0	4,0	3,8

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 07 April 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, % End of period		2026 Spot 03/04	2026 Q2	2026 Q3	2026 Q4	2027 Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.35	4.35	4.45	4.50	-
Eurozone	deposit rate	2.00	2.25	2.75	2.75	-
	Bund 10y	2.97	3.00	3.05	3.10	-
	OAT 10y	3.62	3.65	3.80	3.87	-
	BTP 10y	3.84	3.58	3.70	3.75	-
	BONO 10y	3.48	3.42	3.50	3.55	-
UK	Base rate	3.75	-	-	-	-
	Gilts 10y	4.84	4.50	4.40	4.30	-
Japan	BoJ Rate	0.75	1.00	1.25	1.25	2.00
	JGB 10y	2.35	2.00	2.05	2.10	-

Exchange Rates End of period		2026 Spot 03/04	2026 Q2	2026 Q3	2026 Q4	2027 Q4
USD	EUR / USD	1.16	1.18	1.19	1.20	1.22
	USD / JPY	159	158	159	160	160
	GBP / USD	1.32	1.30	1.29	1.30	1.30
EUR	EUR / GBP	0.87	0.91	0.92	0.92	0.94
	EUR / JPY	184	186	189	192	195

Brent Quarter Average		2026 Spot 03/04	2026 Q2	2026 Q3	2026 Q4	2027 Q4
Brent	USD/bbl	109	57	63	63	73

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 07/04/2026

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We invite you to follow our EcoInsights analyses on the war in Iran.
The "Growth and Inflation" baseline scenarios will be fully updated in April.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.7%, a yearly improvement (+2.2% in 2025). This apparent resilience to uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+3.2% in 2026) until at least 2028 due to tariffs – although the impact of these appears to be less significant than expected – and the rise in oil prices. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the 'employment' component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth reached 5.0% in 2025, like in 2024, and is projected to decelerate moderately in 2026. Domestic demand weakened in the last quarter of 2025, with a contraction in investment and a slowdown in retail sales growth, but then it rebounded in the first two months of 2026. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, and the strengthening of private consumption is one of their priorities. However, the central bank and the government will continue to implement moderate policy measures to stimulate activity, even in a less supportive global environment. Export growth performance remains strong, and Chinese goods are expected to remain competitive in the short term. Deflationary pressures persist. They might decline in 2026, partly thanks to higher global oil prices and anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. This momentum will nevertheless be undermined by the energy shock linked to developments in the Middle East, which leads us to revise our monetary policy scenario for 2026, with risks remaining skewed to the upside: the ECB would implement three successive rate hikes (June, July, September), bringing the deposit rate to 2.75%. In this context, this tightening would increase uncertainty regarding our growth outlook, without invalidating it at this stage.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth easing to 1% after 1.3% in 2025. The energy shock linked to the war in Iran would generate renewed inflationary pressures, and instead of gradually converging back to target, inflation is projected to reach 3.2% before declining only gradually to 2.5% in 2027. In this context, and contrary to the previously expected monetary easing, we now anticipate a tightening of 50 basis points in 2026. Growth momentum would remain weak, with quarterly expansion averaging around +0.2%. Activity would be mainly supported by public spending, particularly through increased public investment; defense investment plans in the UK and across Europe are expected to provide some support to economic activity. Conversely, persistent labor market tightness, risks of de-anchoring of inflation expectations (and thus second-round inflationary effects), as well as deterioration in corporate conditions could weigh further on the outlook.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +1.2% and is expected to slow to +0.8% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of 'less accommodative' policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 +25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).

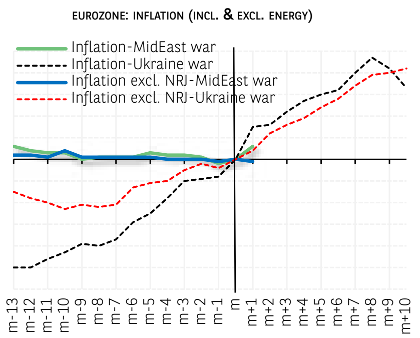
EUROZONE: SIX CHARTS COMPARING THE IMPACT OF THE 2026 ENERGY CRISIS WITH THAT OF 2022

Hélène Baudchon

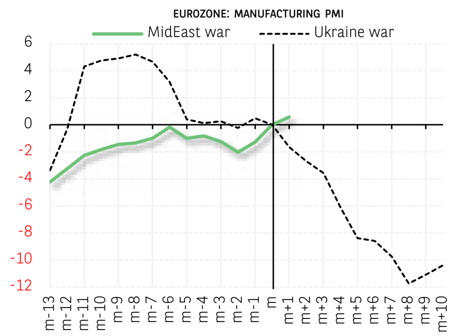
Will the same causes produce the same effects? In other words, will the outbreak of war in Iran and the associated surge in oil prices (+44% to date) and gas prices (+64%) lead to an inflationary shock[1] comparable to that of 2022? Will their negative effects on growth[2] be the same as those of the war in Ukraine and the ensuing energy shock (a rise in oil prices of around 30% between 23 February and its peak in early June 2022[3], and a rise in gas prices of around 210% between 23 February and the peak in late August 2022)? The risk cannot be ruled out. Indeed, there are similarities and numerous uncertainties.

Middle East war: a more limited impact, for now, on Eurozone inflation and confidence than at the onset of the Ukraine war

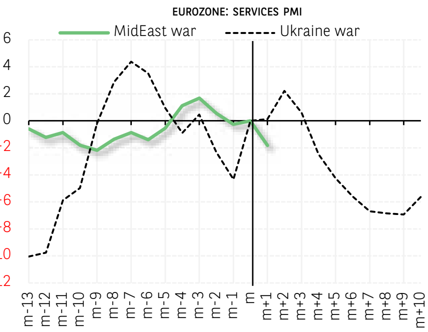
March 2026: a more limited inflation rebound



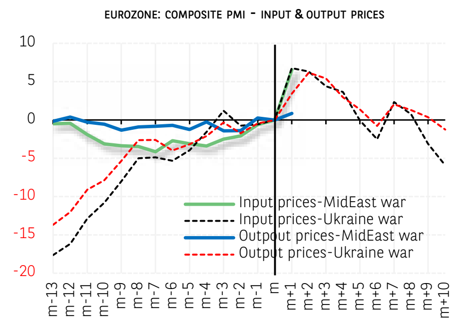
March 2026: business confidence in the manufacturing sector remains well oriented



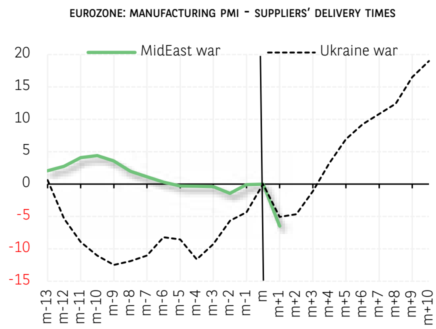
March 2026: business confidence in services on a downtrend



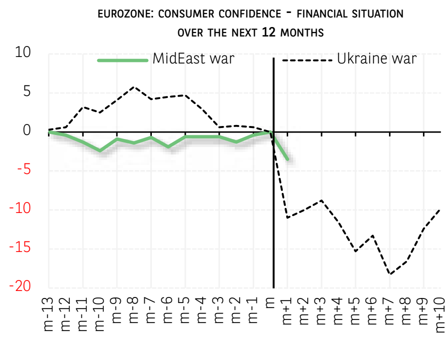
March 2026: input prices rose but not output prices



March 2026: delivery times eased



March 2026: consumer confidence less affected



Change since m = 0 = February 2026 / February 2022

SOURCE: EUROSTAT, EUROPEAN COMMISSION, MACROBOND, BNP PARIBAS

1 Headline inflation in the Eurozone soared by 11 percentage points (pp) between its low in December 2020 (-0.3% y/y) and its peak in October 2022 (10.6% y/y). The energy shock triggered by the outbreak of war in Ukraine amplified an inflationary surge that was already underway: between February and October 2022, the rise in headline inflation reached nearly 5 pp.
2 This is illustrated by the halt to growth in the Eurozone in late 2022 and early 2023. From an average quarterly rate of close to 1% (driven by the post-Covid rebound) in the first half of 2022, growth halved in Q3 2022 (+0.5%), before stalling in Q4 2022 and Q1 2023. This was followed by a year of sluggish growth (+0.15% q/q on average per quarter between Q2 2023 and Q2 2024).
3 The rise in oil prices began in April 2020 and was substantial. On 21 April, Brent fell to an exceptionally low level of USD 10 per barrel, meaning that between this low and the peak of around USD 120 per barrel reached in early June 2022, its price increased twelvefold.

At first glance, a shock less inflationary than in 2022. It is clear, however, that the economic context in which this new energy shock is unfolding is less inflationary than in 2022. At that time, economic activity was still benefiting from the post-Covid rebound. Strong demand was accompanied by numerous supply constraints due to severe disruptions and tensions in supply chains. Furthermore, energy inflation was compounded by food inflation. Today, the surge in inflation is likely to be less severe: demand is less robust and supply constraints have eased. Therefore, the conditions do not appear to be in place for a significant spillover of rising energy prices. But this will need to be monitored closely.

Moreover, central banks have learnt lessons from the inflationary shock of 2021–2023. They are ready to react more swiftly to counter any spillover, spiral and second-round effects between rising prices, inflation expectations and wages.

A muted impact so far. To date, the impact has remained contained within both the financial and real spheres. The limited and somewhat surprising reaction of financial markets does raise questions. Nevertheless, it constitutes a welcome, mitigating factor, preventing, for the time being, the energy shock from being exacerbated by a financial shock[4]. The first macroeconomic indicators available for March (survey data and flash inflation estimates) tell a reassuring story too: their reaction is also, for the most part, limited. This is good news, but in no way does it prejudge what will happen next. It is highly likely that the deterioration observed will continue: the question is by how much.

To track the effects of this new energy shock on activity and prices in the Eurozone, and also to see how closely the current situation resembles that of 2022, we have selected two measures of inflation (including and excluding energy) and six soft data:

• Business confidence, as measured by the PMI indices for business sentiment in the manufacturing and services sectors;

• The 'input prices' and 'output prices' components of the composite PMI (to identify direct inflationary pressures);

• The 'suppliers' delivery times' component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalances and, therefore, indirectly, of potential inflationary pressures at work);

• Household confidence, as reflected in its 'assessment of financial situation' component (to capture the effect on purchasing power).

The trend in each of these indicators is observed relative to month m=0, when the conflict began, more or less during the year that follows and the year that precedes it. We are interested in the variation in each of them as well as the broader trend within which it fits.

Less unfavorable developments in March 2026 than in March 2022. The charts speak for themselves: excluding energy, inflation has not (yet) budged, and last March, most of the surveys showed a less unfavorable reaction to that of March 2022. The improvement in the manufacturing PMI in March 2026 is one of the positive signals, as is the absence of a rise in the 'output price' component, and the fact that the deterioration in household sentiment regarding their financial situation was more limited than in March 2022. The easing of delivery times is also a positive sign, but these are likely to tighten again due to growing supply difficulties linked to the closure of the Strait of Hormuz. The deterioration in the services PMI is a black spot on the picture, as is the rise in input prices, which was of a similar magnitude in March 2026 to that of March 2022. The starting point is, however, much lower. Moreover, what matters most is the absence of – or limited – pass-through to output prices.

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4 For further details, see Isabelle Mateos y Lago's editorial in Ecoweek, Gulf War: Are Financial Markets Sleepwalking?, 30 March 2026.

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EcoFlash

Inflation in the Eurozone and France: the start of a rebound

Inflation in both the Eurozone and France is expected to return to levels not seen since the summer of 2024. In March, we forecast 2.6% y/y in the Eurozone (compared with 1.9% in February). In France, where inflation is starting from a much lower base (1.1% in February), it is expected to reach 1.7% y/y in March, rising to 2.1% in May. This rebound in inflation is attributable to the sharp increase in energy prices, which has not yet been passed on to core prices. Business surveys point to a rebound in input prices. However, they do not currently suggest an increase in selling prices in the second quarter, either in France or in the Eurozone. Nevertheless, a rebound in core inflation is expected from the second half of the year. This could prompt the ECB to begin monetary tightening from June (by a cumulative 75 basis points by the autumn, according to our forecasts).

Harmonised inflation in the Eurozone is expected to reach 2.6% y/y in March, according to our forecasts. This would represent a sharp rise compared with February (1.9% y/y). In monthly terms, the rise in consumer prices is expected to reach 1.4% m/m in March 2026, compared with 0.6% m/m in March 2025, a rise linked to the ongoing increase in fuel prices. The trend is expected to remain unchanged for other consumer items, which would represent a notable difference from March 2022. At that time, the inflationary spiral had already been underway since early 2021, and the Russian invasion of Ukraine had amplified it. Behind the 2.4% m/m rise in the CPI in March 2022, the jump in fuel prices had reached 19% m/m (a trend similar to that expected in March 2026). But food price inflation was also high and had already spread to the core rate (particularly goods prices). Nothing of the sort is expected in March 2026. Core inflation is, in fact, expected to remain stable at 2.4% y/y. All European countries are affected by the rise in Brent oil prices, as evidenced by the 0.8 percentage point acceleration in inflation in Germany (to 2.8% y/y) and in Spain (to 3.3% y/y) in March.

In France, similar trends are also expected. We forecast a rebound in harmonised inflation to 1.7% y/y (INSEE index at 1.6% y/y) compared with 1.1% in February (INSEE index at 1%). We estimate the rise in fuel prices at nearly 17% in March (similar to March 2022). However, inflation is lower in France than in the Eurozone. Furthermore, the rate of increase is expected to be lower than that seen in France in March 2022 (+1.6% m/m). However, with the recent rise in gas prices on the markets, the Energy Regulatory Commission has already indicated that the benchmark retail price for gas will rise by 15% in May, which, according to our forecasts, would push harmonised inflation in May above the 2% threshold (2.1% y/y). Core inflation (1.3% y/y in February), meanwhile, is expected to remain stable.

There is little risk of a rapid spillover to core inflation in the immediate term. The evolution of the conflict in Iran remains uncertain. However, surveys currently suggest that, excluding energy, price rises are likely to be limited until the end of the second quarter. In the Eurozone, the European Commission's survey indicates a balance of opinion on 3-month prices of +20 in industry (+6 m/m, but +57 in March 2022) and +20 in trade (+3 m/m, but +53 in March 2022). In France, the INSEE survey on the business climate in March suggests that the pass-through effect would first affect food prices, with a more limited risk for the time being than in 2022 (the balance of opinion on expected prices over the next three months stood at +8 in March 2026, compared with +42 in March 2022). Inflation on goods could also rebound slightly (balance of opinion at +9 in March 2026), but significantly less than in March 2022 (balance of opinion at +53), for reasons unrelated to the energy shock (rise in industrial input prices linked to increased production in defence, aerospace and AI).

The ECB is unlikely to be in a rush to act, but would do so swiftly if necessary. The course of the conflict in Iran will be decisive in determining whether hydrocarbon prices remain high for the long term. **We have drawn up various scenarios**. According to the most likely scenario at this stage, Brent would remain above USD 100/barrel until the end of Q2, with a prolonged blockade of the Strait of Hormuz and strikes on oil and gas facilities but without major damage (if the damage were to become more significant, the price of oil could rise well above the USD 100/b threshold). In this context, the rise in energy prices would continue. It would feed through more strongly to electricity prices (except in France, where the latter does not currently depend on gas prices) and would spread more rapidly to core inflation. Such an acceleration would likely force the ECB to tighten monetary conditions in the Eurozone, although the scale of the adjustment remains dependent on the uncertain evolution of the conflict in the Middle East, its impact on commodity and industrial goods prices, and second-round effects. Markets are currently pricing in three key rate hikes for 2026 of 25 basis points each: in June, July (as in our current scenario) and December (September in our scenario). The ECB will remain vigilant to ensure that tightening too late does not lead to an inflationary dynamic that is more difficult to reverse.

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EDITORIAL

GULF WAR: ARE FINANCIAL MARKETS SLEEPWALKING?

Asset prices have been moving in unusual ways since the onset of the Gulf War (no safe havens, limited dollar rally and de-risking). Do financial markets know something we don't, has something fundamentally changed in the way asset prices reflect economic expectations, or are they simply malfunctioning and about to swing wildly as things normalise? Unfortunately, it is impossible to know for sure, and what's more, these hypotheses are not mutually exclusive. So far, markets appear to expect an inflation spike, met with a firm central response, with limited damage to growth, and a relatively swift return of inflation to target range. That may turn out to be correct. But far worse outcomes are also very plausible. Not seeing them priced in to a greater degree helps limit damage to growth in the near term, but could cause trouble if this changes abruptly.

Markets around the world have had one overwhelming driver since reopening on March 1: the price of crude oil on exchanges (Brent and WTI). Not physical oil (the one delivered by pipelines and tankers), nor oil products like fuel, diesel. or petrol, whose prices have skyrocketed and which arguably matter a lot more for economic outcomes. Just "paper" oil (*i.e.*, financial contracts), the price of which has fluctuated wildly on an intraday basis, based on the ebb and flow of hopes and fears about the severity and length of this energy shock. Stocks, bonds, and non-dollar currencies have all exhibited a tight negative correlation to oil contracts. In other words, markets have been bouncing around based on little more than war communications from all belligerent parties.

Overall, one month into the war, oil was 55% more expensive, global stocks down 8% and gold down 15%; markets moved from expecting cuts from major central banks to expecting multiple hikes, and global yields were several decimal points higher, reaching levels not seen since the late 2000s in some cases (*see table and chart for more details*)[1]. None of this is crazy *per se*. But look deeper, and some inconsistencies and other oddities appear.

NO SAFE HAVENS

Stocks and bonds have sold off jointly. So has gold. While the latter is highly unusual, the former is, in fact, quite common in response to an inflationary shock, but these shocks were so rare from the 1980s to the 2020 pandemic that we had collectively forgotten about them. Indeed, a joint bonds-stocks selloff is exactly what happened in 2022. As inflation risks rise, central banks are expected to tighten monetary policy by increasing policy rates. This then pushes up short-term interest rates and depresses growth expectations. Ordinarily, capital would then flow to the relative safety of long-term government bonds (leading to a flattening and even often an inversion of the yield curve), and perennial stores of value like gold. Of course, this may yet happen, as markets move to worry more about growth.

But, this time, the flattening has been relatively muted, i.e., long term rates have not been bought as much as they typically would. There could be two reasons for this, not mutually exclusive: an inflation risk premium, and real rates. But market-based expectations of inflation in 10 years have not moved up meaningfully (unlike shorter term ones). That leaves real rates. Why would real rates have gone up since the start of the war? The most likely explanation is that markets expect higher government deficits. This makes sense considering the large deficits incurred by most advanced countries' governments in 2022-23 to help cushion the shock from higher energy costs (between over 3% and over 5% of GDP in Europe's largest economies).

1 Numbers refer to the prices of Oil brent spot contracts and the All Countries World Index (ACWI) from market close on 27/2/2026 to 27/3/2026.

Market expectations for policy rates across major central banks: Number of hikes or cuts by year-end 2026

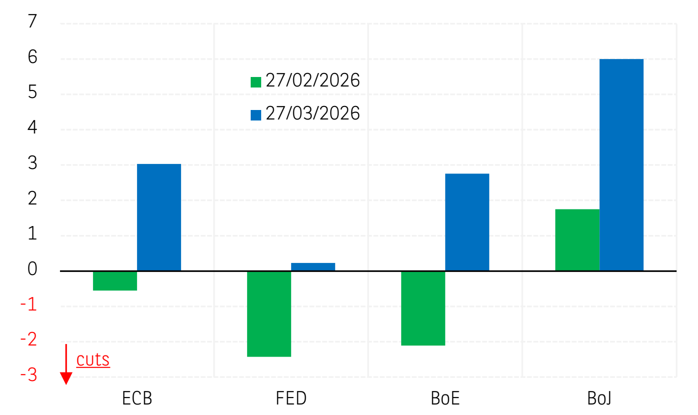

CHART 1 SOURCE: BLOOMBERG, BNP PARIBAS

Markets overview Feb 27 – March 27

		in % change			
	27/03/2026	1-Week	Since Feb 27	Year to date	1-Year
S&P500	6368.9	-2.1	-7.4	-7.0	+11.9
Nasdaq Composite	20948.4	-3.2	-7.6	-9.9	+17.7
Euro STOXX 50	5505.80	+0.1	-10.3	-4.9	+2.3
CAC40	7701.95	+0.5	-10.2	-5.5	-3.6
Bloomberg World Index	2239.14	-1.5	-8.5	-5.0	+14.2
Nikkei 225	53373.07	+0.0	-9.3	+6.0	+41.2
Hang Seng Index	24951.88	-1.3	-6.3	-2.6	+5.8

		in bps			
	27/03/2026	1-Week	Since Feb 27	Year to date	1-Year
OAT 10Y (%)	3.83	+7.9	+61.6	+27.0	+36.6
Bund 10Y (%)	3.09	+5.1	+45.1	+23.9	+32.1
US Tr. 10Y (%)	4.43	+4.8	+49.0	+26.1	+6.8
JGB 10Y (%)	2.39	+11.1	+26.8	+32.2	+79.9
Gilt 10Y (%)	4.97	-2.0	+74.1	+49.5	+19.1

		in % change			
EURUSD	1.15	-0.5	-2.6	-2.0	+6.6
DXY Index	100.15	+0.5	+2.6	+1.9	-4.0
Brent ($/bbl)	112.57	+0.3	+55.3	+85.0	+52.1
Dutch TTF Price (€/MWh)	54.18	-8.6	+71.4	+83.8	+31.8

TABLE SOURCE: BLOOMBERG, BNP PARIBAS

However, precisely because of the legacy of these large deficits, there is much less room for maneuvering this time. That is why most governments' responses to date have been far more targeted, time-limited and restrained. If it stays that way, markets may therefore revise term premium down; but ongoing concerns about large fiscal deficits could keep it high or even push it higher in individual countries. The underperformance of US Treasuries, UK Gilts and Italian BTPs are noteworthy in this respect. So are the unusually poor trading conditions in US Treasuries in the last week of March, with three bond auctions (2Y, 5Y and 7Y) showing unusually low demand.

For now, the rise in long-term real rates could help explain the counter-performance of gold. Another likely explanation is gold's parabolic performance in the run-up to the war, which made it a preferred asset to sell for any holder (including central banks) confronted with liquidity needs.

LIMITED DOLLAR APPRECIATION

The dollar index is up 2.65% over the month. This is directionally what would be expected in the face of an energy price shock, which is a positive terms-of-trade shock for the US (and other energy exporters), and a negative one for all other countries. Moreover, the dollar has historically been a safe haven, rallying in times of heightened risk and risk aversion. But last year already provided a number of opportunities to see this pattern much weakened. The market moves of the past month have shown likewise, with currency moves in both developed and emerging markets being only about 2/3 of what previous patterns would predict. Nevertheless, should energy prices continue to escalate, we would expect the dollar to strengthen further, possibly with non-linearities along the way. In some countries, central banks may then be compelled to step in to alleviate selling pressure on their currencies that would intensify inflation and financial stability risks.

MUTED DE-RISKING

In recent days, stock markets have started registering somewhat more meaningful losses; however, this is largely linked to issues unrelated to the war impacting tech stocks, which had until now acted as safe heaven. Despite US and, to a lesser extent global stocks, being richly priced before the war, only one major index (the NASDAQ) has corrected by more than 10% from peak to trough. Corrections of around 8% in a single month have happened roughly every 2.5 years on average since 2000. The VIX, the so-called "fear index" of expected S&P500 stocks volatility has been hovering between 25 and 30 (versus a long-term average around 20, and spikes above 50 last April in the wake of "Liberation Day"). Earnings expectations have not been downgraded meaningfully. And many stock analysts are holding on to their pre-war year-end targets for US indices. Surveys of global investors indicate they have not derisked their portfolios very much, with cash holdings remaining far below what we saw after last year's "Liberation Day" shock, let alone after the full-blown Russian invasion of Ukraine in 2022. This suggests global investors are not expecting the war and associated energy shock to cause meaningful damage to growth. The OECD and central banks that have published revised forecasts in recent weeks would seem to agree[2]. However, these forecasts were based on scenarios for the size and duration of the energy shock that are already out of reach given developments in energy markets and on the ground since then (see graph below).

Are these developments cause for concern? To a degree, yes. The absence of reliable hedges makes portfolio construction trickier by making it much harder to hedge risk. They also mean that this shock, if it persists or worsens, will inflict larger overall negative wealth effects (capital losses) than more traditional "risk-off" events. In countries like the US, where financial wealth effects contribute significantly to household consumption, it creates an additional downside risk to growth. In Europe, for better or worse, this effect is insignificant in most countries, however.

TTF Gas Futures Prices, EUR/MWh

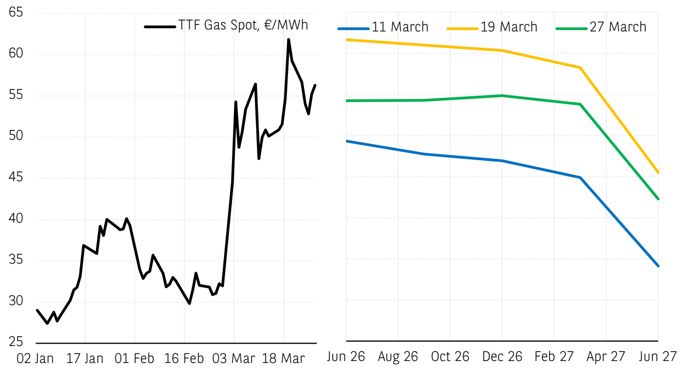

CHART 2 SOURCE: BLOOMBERG, BNP PARIBAS

Brent Crude Oil Futures Prices, USD/bbl

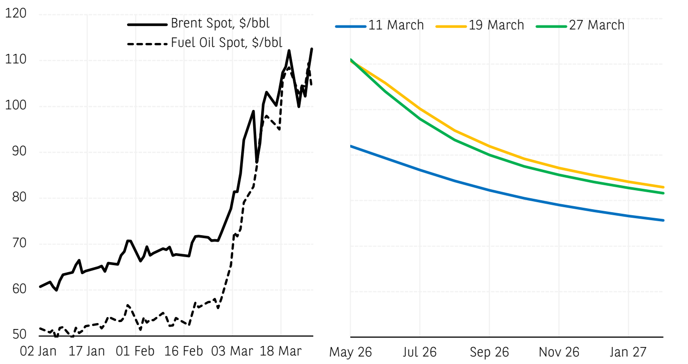

CHART 3 SOURCE: BLOOMBERG, BNP PARIBAS

The muted de-risking is also consequential, but not all negatively. As long as the possibility of scenarios that inflict only manageable growth costs persists, it is much preferable that financial markets do not amplify the headwinds from higher energy prices and more hawkish central banks. This would happen if we saw a spike in risk aversion that makes it prohibitive for corporates or sovereigns to access financing (or refinancing), and that pummels portfolios, potentially leading to systemic financial stability problems. Likewise, contracts for future oil prices have been assuming a relatively short-lived energy shock, and even spot prices have remained much below prices for physical delivery at key oil trading ports (*see charts above*). Given the overwhelming impact these prices have had on all other financial markets since the start of the war, this moderation is a good thing, a shock absorber of sorts.

Nevertheless, at some point, the future economic realities priced by markets and those delivered by facts on the ground will need to converge. At that point, we will either breathe a collective sigh of relief or have a rude awakening.

Isabelle Mateos y Lago

Charts: Tarik Rharrab

2 See March 2026 macroeconomic projections from the Fed, ECB, Banque de France and OECD. Our own work that milder scenarios for the evolution of the war deliver relatively limited growth impacts and transitory inflation increases. However, the now more likely adverse scenarios have more severe macroeconomic implications.

Paris, 27 March 2026

EcoFlash

French public finances: a positive outcome for 2025 to be confirmed in 2026

According to INSEE, the French public deficit in 2025 improved by 0.7pp at 5.1% of GDP (the government targeted 5.4%). This improvement is due to the rebound in the rate of compulsory levies (CL). The public debt ratio is also below projections (115.6% versus 116.2%), although its increase in 2025 was as expected (+3pp). This evolution, along with the repercussions of the shock in Iran, particularly regarding interest rates, suggest to stick with fiscal consolidation efforts in 2026. The deficit is expected to benefit from a better starting point, the anticipated increase in the CL included in the 2026 budget, and the likely favourable impact on revenue from higher nominal growth in 2026. However, the government's leeway to support households and businesses in front of the inflationary shock is more constrained than in 2021–23. This support is therefore likely to be more limited this time around.

A relatively positive surprise in 2025. The public deficit was lower than expected in 2025, standing at 5.1% of GDP (compared with 5.4% according to the government's projections for 2025 and following 5.8% of GDP in 2024). The reduction in the deficit is due to the **rise in the CL – reaching 43.6% in 2025 compared with 42.8% in 2024 –** linked to the tax increases included in the 2025 Finance Law. At the same time, public expenditure has risen to 57.2% of GDP, compared with 57% in 2024. The rise in some expenditure (interest payments, defence, policing, justice) has, in fact, offset the reductions, particularly in central government expenditure. **As for public debt, the surprise is also positive, with the figure standing at 115.6% of GDP** in 2025 (compared with 115.9% according to the government's forecasts; 116.2% according to ours). However, this improvement stems mainly from an upward revision of nominal GDP in 2024 and 2025, resulting in a decrease in the debt ratio for 2024 to 112.6%, compared with the 113.2% previously estimated. However, the increase in the public debt ratio between 2024 and 2025 is +3pp (as we had anticipated; +2.7pp in the government's forecast).

Before the war in Iran, 2026 had got off to a promising start. The draft budget, which was approved in February, once again prioritize the increase of the CL to reduce the public deficit. We anticipate a further rise in the CL-to-GDP ratio, which is expected to converge towards its pre-Covid average (44.4%). Expenditure is also expected to rise due to the increases in defence spending, higher interest charges and contributions to the EU budget**. The war in the Middle East is expected to have an impact on public finance.** Based on the assumption that oil prices stabilise around $100 per barrel during the 2nd quarter, followed by a relative decrease thereafter (with prices remaining approximately $10 above pre-conflict levels by year-end), inflation is projected to increase by 1 pp in 2026, while real GDP growth is expected to fall by 0.3 pp. However, according to our calculations, public finances are more sensitive to changes in nominal growth, which is expected to be higher, than to real growth. Over the past fifteen years, an additional 1 pp of nominal growth has led to a nearly EUR 10 billion improvement in the deficit (0.3% of GDP). **Excluding support measures, the public deficit could therefore be reduced by nearly 0.2 percentage points of GDP. This would make it easier to meet the target of 5% of GDP, although this assessment is subject to significant uncertainties.**

Beware of complacency. A notable rise in inflation is expected. We estimate that fuel prices rose by nearly 17% in March, contributing an additional 0.6 percentage points to headline inflation. **The government has therefore announced its intention to implement support measures in response to the energy shock, which are expected to be more modest in scale than in 2022**, primarily due to limited flexibility in achieving the 5% public deficit target. For the time being, the energy shock is less widespread than it was from 2021 to 2023. Electricity prices are expected to remain stable, as gas is not required for its generation, unlike in 2022. The rise in gas prices is occurring at the end of winter, contrasting with the rise that took place just before winter in 2021. Furthermore, before the outbreak of the war in Iran, the French economy was not experiencing any inflationary pressures, with harmonised inflation recorded at 1.1% y/y in February, roughly its pre-Covid level. **The conflict in Iran has also resulted in a rise in interest rates to a level slightly higher than we had anticipated**: 3.87% for the 10-year OAT on 27 March, compared with 3.65% at the end of March according to our pre-conflict forecasts (so, about 20 basis points higher). Although a rise in interest rates has little immediate impact on the deficit and debt-to-GDP ratios due to the debt's long average maturity (8½ years), a sustained rise could require additional fiscal measures to bring the public deficit back down to 3% of GDP by the end of the decade. While the interest burden is projected to reach 2.5% of GDP in 2026 and 3.7% in 2030, according to our forecasts, a sustained increase of 100 basis points in all interest rates (significantly above current levels) would result in an additional 0.1pp of GDP in interest payments after one year (and 0.5pp after five years). It is therefore crucial for France to meet its budget deficit target and, as far as possible, refrain from using its potential leeway (lower public deficit in 2025, additional revenue in the event of a rebound in nominal growth in 2026). Demonstrating that the consolidation effort is continuing year after year would help to limit the widening of the *spread* with Germany.

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EUROPEAN MANUFACTURING SECTOR IS HEADING INTO THE 2026 ENERGY CRISIS WITH A LOWER RATIO OF NON-PERFORMING LOANS THAN IN 2022

Thomas Humblot

During her hearing on 18 March 2026 before the Committee on Economic and Monetary Affairs of the European Parliament, Claudia Buch (Chair of the Supervisory Board of the European Central Bank) highlighted the absence of decline in the quality of bank assets and the stability of non-performing loan ratios. These ratios are a good indirect indicator of the financial health of borrowing corporations in the European Union (EU), particularly in the manufacturing sector. When viewed from this perspective, the proportion of firms in this sector facing severe financial difficulties appears to be lower at the start of 2026 than at the start of 2022. This suggests, by extension, that these firms are in better financial health and have a greater ability to absorb shocks. Nevertheless, comparing the current energy shock with the previous one poses difficulties. Apart from the uncertainty surrounding the duration and scale of the 2026 shock, the effects of the 2022 shock were largely mitigated by public and private support measures. This time, such measures are likely to be more limited, given budgetary constraints.

The manufacturing sector's non-performing loan ratio has generally declined across the EU since 2019

	Q2 2019	Q4 2019	Q2 2020	Q4 2020	Q2 2021	Q4 2021	Q2 2022	Q4 2022	Q2 2023	Q4 2023	Q2 2024	Q4 2024	Q2 2025	Q4 2025
Germany	2,8%	3,4%	3,3%	4,1%	3,8%	3,2%	3,5%	3,9%	4,2%	4,5%	4,5%	5,0%	4,5%	4,3%
Austria	3,8%	3,5%	3,3%	3,8%	3,9%	3,7%	3,7%	3,7%	3,2%	3,4%	3,1%	4,5%	3,4%	3,6%
Belgium	3,0%	4,3%	4,0%	4,9%	4,3%	3,8%	3,6%	3,6%	3,8%	3,7%	3,6%	3,4%	3,7%	3,9%
Bulgaria	8,0%	6,5%	7,2%	6,5%	6,1%	4,4%	3,1%	2,7%	2,1%	2,9%	2,8%	3,0%	3,1%	3,5%
Cyprus	31,7%	28,0%	19,9%	14,0%	13,1%	3,8%	2,8%	3,2%	2,8%	2,1%	2,3%	1,9%	1,4%	0,7%
Croatia	17,6%	16,0%	16,0%	15,6%	14,0%	8,6%	7,2%	6,6%	5,5%	5,5%	5,1%	5,9%	5,6%	5,1%
Danmark	3,1%	3,7%	2,8%	4,0%	3,4%	1,9%	1,5%	1,3%	1,2%	1,8%	1,8%	1,9%	1,9%	2,2%
Spain	5,1%	4,8%	4,4%	4,5%	4,6%	4,0%	3,4%	3,2%	3,1%	3,2%	3,0%	3,1%	3,0%	2,9%
Estonia	3,1%	3,1%	3,7%	2,1%	1,7%	1,4%	1,6%	1,8%	2,2%	3,1%	4,3%	3,1%	5,1%	6,4%
Finland	4,9%	4,6%	5,6%	3,3%	3,2%	3,0%	2,8%	1,9%	2,3%	2,6%	2,0%	1,7%	2,2%	1,8%
France	4,5%	4,2%	4,5%	5,0%	4,9%	4,1%	4,2%	3,9%	3,9%	3,9%	4,2%	4,3%	3,9%	4,0%
Greece	43,8%	39,2%	33,9%	31,6%	21,0%	12,6%	8,1%	6,7%	6,4%	5,3%	5,5%	4,4%	3,8%	3,3%
Hungary	6,7%	6,1%	5,4%	5,2%	4,6%	4,2%	4,8%	4,2%	3,8%	6,9%	6,5%	6,8%	5,7%	7,9%
Ireland	2,4%	1,6%	1,7%	1,5%	1,4%	1,6%	2,0%	2,8%	2,9%	2,3%	1,8%	2,0%	1,9%	2,7%
Italy	10,3%	9,1%	7,8%	6,1%	5,6%	4,2%	3,1%	3,1%	3,1%	3,4%	3,7%	4,0%	4,1%	4,1%
Latvia	10,6%	10,7%	9,5%	8,9%	9,4%	1,4%	1,5%	1,3%	2,2%	2,0%	2,2%	1,5%	1,4%	3,7%
Lithuania	5,7%	4,7%	5,1%	5,3%	3,2%	2,1%	1,8%	0,6%	0,6%	3,4%	3,3%	2,8%	0,5%	1,7%
Luxembourg	2,4%	2,4%	3,5%	3,5%	2,5%	2,2%	5,9%	7,3%	8,6%	3,5%	3,4%	4,0%	4,1%	5,6%
Malta	4,9%	6,4%	6,9%	13,8%	13,9%	15,6%	9,8%	8,0%	8,4%	6,7%	12,3%	6,9%	7,5%	7,7%
Netherlands	3,5%	4,5%	4,8%	5,1%	4,5%	3,8%	3,5%	3,2%	3,5%	3,1%	3,1%	4,0%	3,8%	3,6%
Poland	7,1%	8,3%	8,0%	8,8%	8,8%	7,3%	6,5%	5,5%	5,2%	5,4%	5,1%	10,5%	11,0%	10,7%
Portugal	10,5%	9,0%	8,5%	7,8%	6,0%	6,9%	7,4%	6,9%	7,1%	5,2%	5,1%	4,9%	5,6%	5,6%
Romania	8,5%	8,7%	11,9%	11,1%	10,8%	9,2%	7,7%	5,2%	4,4%	4,6%	4,2%	4,0%	5,1%	6,0%
Slovakia	1,9%	2,2%	2,5%	1,9%	2,5%	2,2%	2,2%	1,6%	1,4%	2,1%	2,3%	2,8%	2,7%	3,6%
Slovenia	4,9%	3,6%	2,9%	3,5%	2,8%	2,3%	1,9%	1,5%	2,0%	3,2%	3,7%	3,3%	3,6%	9,8%
Sweden	2,8%	3,2%	3,2%	2,3%	1,6%	1,3%	1,5%	0,9%	1,0%	1,0%	1,0%	1,6%	1,0%	1,3%
Czechia	4,6%	5,0%	5,2%	5,7%	5,3%	5,2%	5,6%	5,4%	4,3%	4,2%	3,9%	3,6%	3,6%	3,5%
European union	5,7%	5,5%	5,6%	5,5%	5,0%	4,0%	3,6%	3,5%	3,5%	3,6%	3,7%	4,0%	3,8%	3,8%

Reading note: For each country individually, the highest non-performing loan ratio in the manufacturing sector during the observation period is shown in the darkest shade of red. The lowest ratio is shown in the darkest shade of green

SOURCE: EBA, BNP PARIBAS

Lower non-performing loan (NPL) ratios indicate a smaller proportion of firms in a severely deteriorated situation

These ratios have the advantage of being available for each sector of activity. Furthermore, they enable the difficulties faced by certain firms to be standardised to a certain extent, by assessing their economic significance within the total number of firms (whether in difficulty or not). In most individual European Union countries[1], the NPL ratio for the manufacturing sector now stands at a historically low level (*see heatmap:* cells shaded in the darkest green). Furthermore, the highest ratios (shaded in the darkest red) at the start of the observation period typically recorded the sharpest declines. In the majority of cases, NPL ratios were reduced by more than half between Q2 2019 and Q4 2025. In cases where they increased during this latter period, the increases generally remained modest. Overall, the decline in the manufacturing sector's NPL ratio in most European countries

1 Comparing the level or extent of variation in the NPL ratio across countries is of limited interest, given the wide range of national specificities (proportion of floating-rate loans, laws governing companies in difficulty, etc.).

tends to indicate improved financial health. The manufacturing sector's initial ability to withstand the energy shock linked to the 2026 war in Iran is therefore, in theory, greater than it was at the onset of the 2022 war in Ukraine.

An energy shock and the corresponding mitigation measures remain uncertain in terms of their scale and duration

However, the manufacturing sector's greater ability to absorb shocks, as indicated by NPL ratios, does not in itself enable us to predict the impact of the 2026 shock, particularly when compared with the 2022 shock. In response to the latter, many EU firms did indeed benefit from public and private support measures, which were in addition to those already put in place during the COVID-19 pandemic (moratoria on loan repayments, deferrals of social security contributions, state guaranteed loan schemes, etc.). This helps to explain why the manufacturing sector in EU countries has, generally speaking, absorbed the 2022 shock well, as evidenced by the stability or minimal increases in NPL ratios. The scale and duration of any potential public and private mitigation measures in response to the current energy shock are shrouded in as much uncertainty as the shock itself. However, orders pertaining to defence, public infrastructure and AI are expected to provide new sources of resilience[2] which, combined with the European manufacturing sector's initially robust financial health, could help limit the impact of the 2026 energy shock on business bankruptcies and unemployment.

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2 The nowcasts, updated scenario and forecasts of the Economic Research - 23 March 2026.

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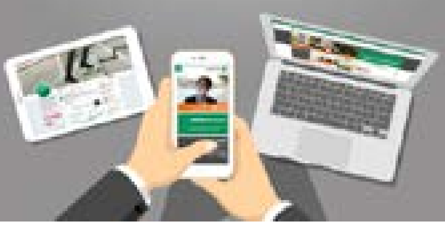

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d'un monde
qui change

Paris, 20 March 2025

EcoInsight

War in the Middle East: Shockwaves are spreading

The conflict in the Gulf has escalated in recent days, with an increase in strikes targeting oil and gas facilities (on both sides). The impact on energy prices has therefore intensified. A relatively rapid de-escalation of the conflict is unlikely, whilst there is a growing prospect of the conflict worsening along with its macroeconomic effects (higher inflation, lower growth). Central banks have taken note of this this week, but are waiting for greater clarity on how events will unfold before deciding how to respond. The markets, too, are taking a more cautious stance and anticipate that central bank will adopt more restrictive policies than previously expected for over the rest of the year. So do we.

New scenarios

Since our EcoInsight of 6 March (**"War in the Middle East: initial assessment of macroeconomic damage"**), we have updated our scenarios. They reflect events to date and possible future developments of the conflict, in order to assess their consequences for growth and inflation compared with our pre-war macroeconomic scenario:

Scenario 1: De-escalation and swift resolution of the conflict.

Scenario 2: Rapid resumption of hydrocarbon flows against a backdrop of persistent instability.

Scenario 3: Partial resumption of hydrocarbon flows amid gradually easing tensions in the coming quarter. Oil prices would fall more slowly in 2026 than in the more favorable scenarios 1 and 2 and would remain at higher levels in 2027 (between USD 10 and USD 15 higher).

Scenario 4: Persistence of very severe constraints on traffic through the Strait of Hormuz, keeping hydrocarbon prices at very high levels until Q3 2026. This would be followed by a very gradual decline in prices until spring 2027, after which they would reach levels similar to those in scenario No. 3.

Since 17 March, attacks on strategic gas facilities in Iran and Qatar have signalled a new phase in the intensity and duration of disruptions in energy markets. The scenario of a resumption of traffic through the Strait of Hormuz is unlikely in the short term, even as international mobilization to enable the resumption of traffic is gaining momentum. The ongoing blockade of the Strait and the physical destruction of strategic oil and gas facilities are now disrupting not only flows but also production and supply available on markets. Against this backdrop, oil and gas prices are likely to stay elevated for several months.

In our scenario 3, Brent prices (averaging USD 68 per barrel in 2025) would rise to just over USD80 per barrel on average in 2026 and remain close to that level in 2027. Under the most unfavourable scenario (scenario 4), Brent prices would reach an average of USD100/b in 2026 before falling back to around USD80/b in 2027. Gas prices on the European market (TTF benchmark averaging EUR35.3/MWh in 2025) would average around EUR49/MWh in 2026 and 2027 under scenario 3. Scenario 4 would imply persistent strains on European gas supplies, particularly during the pre-winter stock-building period; prices would reach around 70 EUR/MWh on average in 2026 and 61 EUR/MWh in 2027.

The effects on inflation will extend beyond the mere acceleration already observed in fuel prices in March. Second-round effects (a rise in core inflation) are likely and would entail a cost in terms of growth and a probable tightening reaction from central banks. In some countries (particularly in Asia), the negative impact on economic activity will come mainly from disruptions to hydrocarbon supplies (in addition to elevated prices).

Energy prices and spillovers to other prices: where do we stand?

Oil market: supply constraints are tightening despite efforts to ease them

Under normal circumstances, the volume of crude oil passing through the Strait of Hormuz is 15 million barrels per day (20mb/d including refined products). The current blockade of the Strait has led to production stoppages as storage capacity has gradually become saturated. Since the start of the conflict, the reduction in crude oil production is estimated to amount 8 mb/d.

Alternative transit routes exist, but they only partially circumvent the problem. The Saudi "East-West" pipeline has a capacity of 7 mb/d, but that of the Yanbu terminal on the Red Sea is only 4.5 mb/d. Another alternative route has been opened: the Baku-Ceyhan pipeline, but its capacity is limited (around 0.25 mb/d). On 12 March, sanctions on Russian crude oil were lifted by the United States for one month, but this applies only to floating stocks, or *oil on water,* amounting to around 130 million barrels.

The release of strategic reserves is another source of supply for the oil market. The International Energy Agency (IEA) has announced the release of 400 million barrels of oil from the strategic reserves of its 32 member countries. The United States is supplying the majority of the oil released onto the market, with 172 million barrels of crude oil. Europe plans to make 107.5 million barrels available, the majority of which is refined oil (68% of the total). This is a historic amount (following Russia's invasion of Ukraine, the IEA had released 182.7 million barrels onto the market). In theory, this reduction in stocks would be sufficient to supply the market for 115 days at a rate of 3.5 million barrels per day. Nevertheless, many uncertainties remain (pace, geography, nature of the products released onto the market).

For the time being, these alternatives are not enough to prevent a rise in oil prices. The price of a barrel of Brent crude reached USD 116 on 19 March, representing a 60% increase since the start of the conflict and a 16% rise over the past week. However, markets continue to bet on a relatively swift resolution to the crisis. Indeed, the futures curve is quite steep, with the February 2027 contract standing at USD 83. Since the start of the conflict, we have also observed a growing spread between the price of a barrel of Brent and that of physical barrels in certain markets. For instance, the price spread between Oman crude and Brent reached USD 55/b on 19 March (the price of Oman crude stood at USD 167/b on 19 March). Tensions in the refined products market are starting to emerge as well, leading to significant price rises. Since the start of the conflict, on the US market, petrol and kerosene prices have risen by more than 50%, diesel by 65%, whilst heating oil has risen by 85%.

Gas market: less tension, but likely to persist

Since the start of the month, Qatar has been unable to honor its LNG exports (around 20% of global production), initially due to the closure of the Strait of Hormuz and, since 2 March, due to the closure of the Ras Laffan site – the world's largest LNG export facility – as a precaution following a drone attack. These disruptions are expected to continue: the damage caused to the Ras Laffan infrastructure following new attacks on 19 March will require 3 to 5 years of repairs before the site production can return to pre-conflict levels, according to QatarEnergy (approximately 17% of Qatar's production capacity has been affected). As Asia is the main destination for Qatari exports, the JKM price (Asian LNG market) has risen by 96% since the start of the conflict.

Given the link between the Asian and European markets (arbitrage is possible between the two regions), the price of European gas has also risen sharply. The TTF has risen by 108% since the end of February and by 30% over the past week. Nevertheless, the current TTF price (€66/MWh) remains well below the level reached during the 2022 crisis (the TTF averaged €134/MWh for the year, peaking at €240/MWh in August 2022). However, the start of the European gas stock-building period from the second quarter onwards will support the price rise.

Several factors will, however, help contain this rise in the near term: the end of winter in Europe reduces European countries' gas requirements; the Gulf accounts for less than 10% of European LNG imports. For the time being, supply risks for the European market are therefore limited. The sharp rise in gas prices is also prompting electricity producers to switch to coal where possible (particularly in Asia, and to a lesser extent in Europe). Since the start of the conflict, coal prices have risen by 25%.

Other critical markets: a risk of rapid spillover

Pressure on hydrocarbon prices is already spreading to fertilisers and could soon affect food prices. Natural gas is an essential input for the production of fertilisers (such as ammonia and urea). Moreover, around a third of the global supply of fertilisers passes through the Strait of Hormuz. Supply disruptions, on the one hand, and rising gas prices, on the other, are already feeding through to global fertiliser prices. They could quickly have knock-on effects across the entire agricultural production chain and on food prices. Among the major emerging economies, Thailand, India and the Philippines, as well as Hungary, are the most vulnerable to the combined rise in energy and food prices, which account for over 30% of the consumer basket (of which 8% to 13% is for energy). The knock-on effects of the energy shock on the agricultural sector (rising prices, risk of shortages) could also fuel socio-political risks. India is particularly vulnerable in this regard.

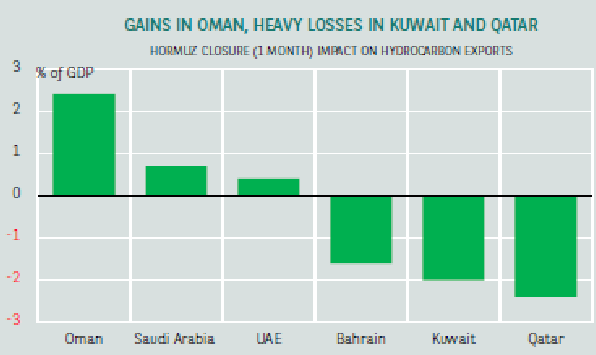
Aluminium and helium are also exposed to a potential supply disruption. The Middle East accounts for 9% of global aluminium production. Qatar supplies 30% of the world's helium. **Helium** is essential to the semiconductor industry and cannot be substituted: disruptions in the electronics sector's supply chains are therefore likely.

A shock for the Gulf states: initial estimates

Despite progress in economic diversification in recent years, the hydrocarbon sector still accounts for, on average, 28% of the region's GDP, 62% of government revenue, and over two-thirds of export earnings (up to 80% for Kuwait and Qatar).

Apart from Oman, only Saudi Arabia and the United Arab Emirates (UAE) have the capability to bypass the Strait of Hormuz for their exports, and then only for limited quantities (around 50% of export capacity for the UAE and 60–65% for Saudi Arabia). For them, the surge in global oil prices should therefore offset the decline in export volumes, although to varying degrees: a significant impact for Oman, and a limited one for Saudi Arabia and the UAE. By contrast, the decline in exports for Bahrain, Kuwait and Qatar will be significant. As all of these latter countries' hydrocarbon exports pass through the Strait of Hormuz, each month of closure results in annual export losses equivalent to 1.6%, 2% and 2.4% of GDP respectively.

Moreover, downside risks are high, as this scenario assumes no major further damage to oil or port infrastructure. Access to the Saudi port of Yanbu via the Red Sea is also vulnerable to attacks from Yemen.



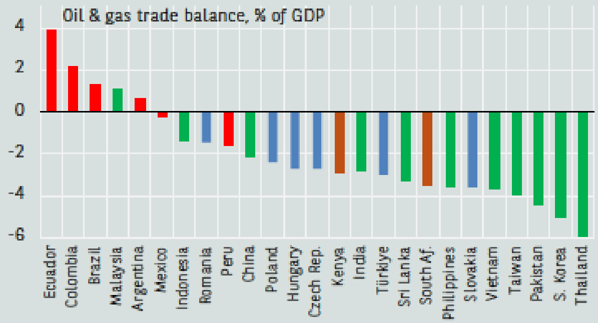
Risks of hydrocarbon shortages in emerging countries: Asia and Africa on the front line

Asia is particularly exposed to shortages caused by the interruption of tanker traffic in the Strait of Hormuz and damage to oil and gas facilities in the Gulf:

1/ With the exception of Malaysia, Asian countries are major net importers of oil and gas. Their net imports account for 4% to 6% of GDP for Thailand, South Korea, Taiwan and the poorest countries in South Asia (graph).

2/ These countries are particularly dependent on the Gulf region and the Strait of Hormuz: on average, it is estimated that Gulf countries supply around a third of Asia's oil and a quarter of its natural gas.

ASIAN COUNTRIES ARE LARGE NET IMPORTERS OF OIL AND GAS



SOURCE: ITC, BNP PARIBAS

As regards gas, India and Pakistan are the Asian countries most vulnerable to supply disruptions (in 2024, 77% of their gas imports came from the Middle East). However, unlike Pakistan, India can substitute coal for gas to generate electricity. For South-East Asian countries, gas supply sources are more diversified: Indonesia imports 68% of its gas from the United States, while the Philippines and Thailand import their gas from other Asian countries or Africa; Vietnam imports gas from the Middle East, Asia and the United States. Indonesia has a major advantage: it produces coal and has the necessary facilities to substitute gas with coal. Finally, South Korea and Taiwan are highly dependent on LNG imports (they do not produce gas and do not import any gas via pipeline), with the Gulf accounting for 20% and 27% of their gas imports respectively. Taiwan's strategic natural gas reserves exceed the legal minimum level, but this threshold represents only eleven days of consumption. South Korea's reserves would last for at least 43 days' consumption. **Should gas shortages occur, they could significantly slow down production in these countries.**

As for oil, Vietnam and Indonesia are among the countries most vulnerable to supply disruptions as their reserves cover less than 30 days of consumption needs. In India (which has reserves covering 45 days of consumption), the impact could be mitigated by purchases of Russian oil. Some countries considered allies by Iran might also manage to get tankers through the Strait of Hormuz (Pakistan, China). South-East Asian countries have already taken steps to reduce fuel consumption (working from home in Thailand, the Philippines and Vietnam).

China is heavily dependent on oil and gas imports from the Middle East but has buffers. Iran supplies 11% of its crude oil, 33% of its crude oil requirements are transported through the Strait of Hormuz, and Qatari LNG accounts for around 15% of its gas imports. However, China has increased its strategic reserves in recent years. Its crude oil reserves are estimated at 1.2 billion barrels, equivalent to 3.4 months of imports. Furthermore, China is reported to have suspended exports of refined oil products (around 8% of its domestic production). This measure could disadvantage some of its partner countries (in particular the Philippines and Vietnam, which import 25% and 14% respectively of their refined oil products from China). As for gas, its reserves are thought to cover at least six weeks of consumption, and the country could turn to other sources (imports via pipeline, domestic production). China may also increase its imports of Indonesian coal.

Southern and Eastern Africa is also particularly exposed to the risk of shortage, as the Middle East is their primary supplier of oil and gas. In South Africa, 36% of oil and gas imports come directly from countries affected by the closure of the Strait of Hormuz (54% when including Oman). In Kenya, this figure rises to 60% (70% when including Oman). The risk of shortages is heightened by the fact that sub-Saharan African countries have no strategic oil reserves. South Africa is the sole exception, holding 8 million barrels of crude oil, which is less than three weeks of domestic consumption. In Europe, Türkiye is the most affected by supply disruptions, with Iran supplying 15% of its LNG consumption.

In **Central Europe**, energy dependence on the Middle East for oil and gas is relatively low, with the exception of Poland. Poland primarily sources its crude oil from Saudi Arabia (50% of crude oil imports, with the remainder coming from Norway (around 30%) and the United States (7%), and around 10% of its gas imports come from Qatar. Hungary and Slovakia, meanwhile, rely mainly on Russia for their oil and gas imports. Although these two countries have given rise to some concerns, the risks associated with an oil supply shock appear to be diminishing. Ukraine has pledged to repair the section of the Druzhba pipeline that was severely damaged at the end of January, with financial support from the EU. The situation in the region therefore remains under control. Central European countries possess adequate strategic reserves, representing around 90 days' supply (in line with EU recommendations).

In **Latin America**, vulnerability is even lower: energy supplies from the Gulf account for only a small share of the total: 13% of total oil imports for Argentina and Brazil, 8% for Uruguay and virtually nothing for the region's other economies. Furthermore, several major economies – Argentina, Brazil, Colombia and Ecuador – are net energy exporters. As a result, they stand to gain from the rise in global oil prices (via terms of trade, export and tax revenues).

Financial market reactions: negative, but relatively moderate

Advanced economies: Stock markets have so far recorded a relatively moderate downturn. However, the decline has been more pronounced in Asia and Europe, which are more vulnerable to an energy shock, compared to the United States. The Eurostoxx 100 has fallen by 7.4% since the start of the conflict, compared with a 4.4% decline for the S&P 500. The DXY dollar index has risen by around 1.5% over the same period, gaining strength against the main G7 currencies. Ten-year bond yields have risen across the board: by 30 basis points (US, Germany, France) to 40 basis points (Italy, UK), while Japanese yields have risen by 15 basis points.

For advanced economies, although these increases may still seem relatively small, they come on top of the rises seen in 2025. In the Eurozone, these increases have pushed long-term rates above the peaks seen at the end of 2023, following the inflationary shock of 2022–23, returning to levels not seen since 2010 or 2011 (depending on the case) and even 2008 for the UK.

Emerging economies: The conflict has **put** moderate pressure on domestic interest rates. The countries most affected are South Africa, the Philippines, Pakistan, Central European countries and, above all, Türkiye. In the case of Türkiye, yields on 5-year government bonds have risen by 330 basis points since 27 February, reflecting an inflation premium that appears to be higher than for other emerging markets. Risk premiums have reacted little, with increases generally remaining below 15 bp. Emerging market currencies are also holding up for the time being. Since 27 February, only a few currencies have depreciated by more than 5%, with the Egyptian pound seeing the sharpest fall (-8.1%). The Hungarian forint has depreciated by 3.3% against the euro and by 5.4% against the dollar. In Asia, the currencies that have recorded the sharpest depreciation against the US dollar are the Thai baht, the South Korean won and the Philippine peso, with declines ranging from -5.1% to -3.5%. The Chinese yuan has depreciated by less than 0.5% against the dollar, **putting an end to** the appreciation trend seen since the start of 2026. The Indian and Indonesian rupees, along with the Malaysian ringgit, have remained strong so far, but pressures on the Indian rupee are mounting. Latin American currencies have held up well.

These differences in market reaction can largely be explained by the varying degrees of vulnerability to the energy shock. Similarly, stock market performance in the Middle East mirrors the extent of countries' vulnerability to the consequences of the conflict: the Dubai market has been hardest hit (-15% since 27 February), while the markets in Saudi Arabia and Oman have held up much better.

Markets overview

	in % change					
	20/03/2026	1-Day	1-Week	1-Month	Year to date	1-Year
S&P500	6506.5	-1.5	-1.9	-5.8	-5.0	+14.9
Nasdaq Composite	21647.6	-2.0	-2.1	-5.4	-6.9	+22.4
Euro STOXX 50	5501.28	-1.9	-3.8	-10.3	-5.0	+0.9
CAC40	7665.62	-2.0	-3.1	-10.0	-5.9	-5.3
Euro STOXX Banks	235.02	-1.8	-2.6	-13.6	-10.7	+21.7
BNP Paribas	82.13	-1.9	-3.3	-13.3	+1.7	+3.9
Nikkei 225*	53372.53	-2.8	-2.0	-7.1	+6.0	+41.4
Hang Seng Index	25277.32	-3.4	-0.7	-4.3	-1.4	+4.4

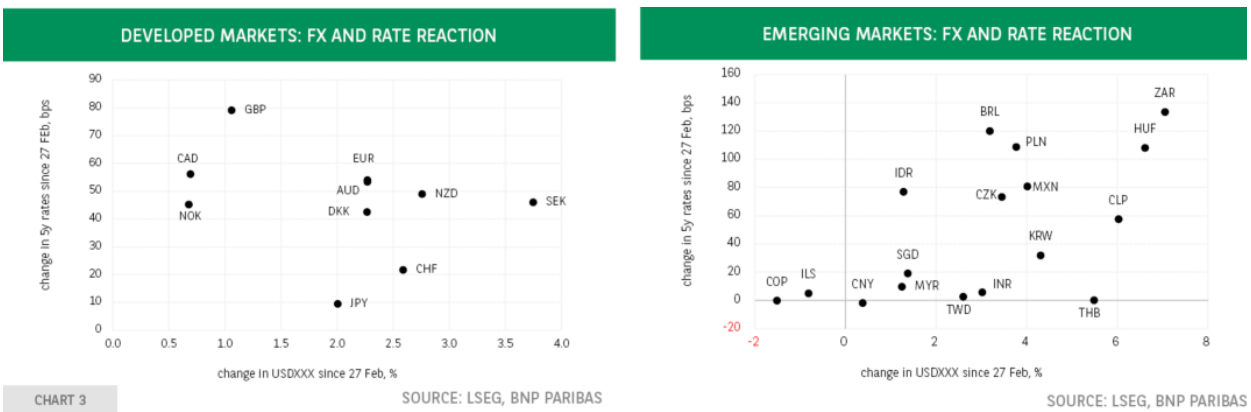
*** 19/03/2026**

	in bps					
	20/03/2026	1-Day	1-Week	1-Month	Year to date	1-Year
OAT 10Y (%)	3.76	+11.3	+8.2	+45.5	+19.1	+27.4
Bund 10Y (%)	3.04	+8.1	+6.0	+30.6	+18.8	+26.3
US Tr. 10Y (%)	4.38	+13.0	+10.3	+29.7	+21.3	+14.3
JGB 10Y (%)	2.28	+5.8	+8.9	+12.7	+21.1	+76.1
Gilt 10Y (%)	4.99	+15.1	+17.1	+64.1	+51.5	+34.8

	in % change					
EURUSD	1.16	-0.1	+1.4	-1.8	-1.5	+6.6
DXY Index	99.65	+0.4	-0.7	+1.9	+1.3	-4.0
Brent ($/bbl)	112.19	+3.3	+8.8	+56.3	+84.4	+55.8
Dutch TTF Price (€/MWh)	59.26	-4.2	+18.2	+85.0	+101.0	+35.6

Source: Bloomberg, BNP Paribas

Market performance since the start of the conflict in Iran



Higher inflation and central banks on alert

United States

The latest developments confirm, even reinforce, an upward trajectory for inflation compared with the initial forecast. The upcoming CPI figures will already reflect the direct and immediate impact of rising retail petrol prices (+31% in 2026 YTD, +25% since the week the intervention in Iran began). The **risks are therefore clearly skewed to the upside**, particularly if scenario 4 materialises, in which case *headline* inflation could exceed +4.0% y/y as early as Q2 2026.

At its latest meeting, the Fed revised its inflation forecasts for 2026 upwards, albeit by a relatively modest margin on the implicit assumption of a temporary shock. Chair Jerome Powell stated it was "too early to tell" what impact the war in Iran would have on US inflation. The median PCE estimate for 2026 was raised to 2.7% from 2.4% in the December projections, whilst the forecast for 2027 was raised by 0.1 percentage points to 2.2%. At this stage, the Fed still expects inflation to return to the 2% target in the fairly near future. The estimate for the long-term policy rate has also been raised slightly (3.1%, +0.1 percentage points). As with the ECB, the Fed is allowing itself time to assess the effects of the war on inflationary dynamics. Both central banks will be more responsive if necessary at their next meeting in April.

At this stage, we still expect the *Fed Funds* target to remain at 3.5%–3.75% throughout 2026 and 2027. Indeed, whilst the *Summary of Economic Projections* for Q1 2026 maintains the median forecast of a rate cut this year, Jerome Powell has distanced himself somewhat and reiterated that this cut was conditional on a decline in inflation – a decline that is now unlikely to materialise. However, the Fed's reaction function remains skewed in favour of the 'maximum employment' component of its dual mandate, and the statement from the March FOMC meeting retains the reference to potential 'further adjustments' (i.e. beyond the cuts already implemented).

Thus, **in our view, a decision by the Fed to raise its key interest rate would require several conditions to be met**. Not only would it take a rapid and significant pass-through of the energy price shock to core inflation via second-round effects, but growth would also need to prove sufficiently resilient despite this. Indeed, if risks to employment were to increase, this would hamper tightening.

Eurozone

An increase of nearly 0.6 percentage points in inflation (year-on-year) appears already a foregone conclusion for March given the rise in fuel prices (inflation would thus reach 2.5% y/y, compared with 1.9% in our pre-conflict scenario).

As expected, the ECB kept its key interest rates unchanged in March, but it has already factored into its new macroeconomic projections significant impacts on growth and inflation in 2026 resulting from the rise in energy prices. The new baseline scenario incorporates a limited price shock, which would subside fairly quickly, with energy prices falling rapidly from Q3 onwards. At this stage, the ECB therefore anticipates a return to the 2% target in 2027. However, these scenarios already appear difficult to achieve. The alternative scenarios presented by the ECB, which are not directly comparable to ours, would have more severe and lasting implications for inflation than our scenarios, due to the destruction of energy production capacity in Iran (in this scenario, Brent crude would reach USD 145 per barrel and the TTF EUR 106/MWh in Q2 2026, leading to *headline* inflation in the Eurozone of 4.4% in 2026 and 4.8% in 2027). For the Eurozone, we expect scenarios 1 and 2 to lead to a temporary rebound in inflation (around 4% year-on-year by the end of 2026) but no upward pressure in the longer term, with a gradual convergence towards the 2% target during 2027. By contrast, the most severe scenario would push inflation to a peak of 6% and keep it well above target in 2027.

Against this backdrop, we have revised our ECB rate scenario: we now expect three consecutive 25bp hikes in key interest rates in June, July and September.

United Kingdom

The prospect of inflation returning to target this year looks increasingly unlikely. The economy appears all the more vulnerable to the energy shock as it is starting from an already high level of inflation (3% y/y in January). Whilst a slowdown in the labour market and a negative output gap could limit second-round effects, the impact on oil prices of the damage caused to energy infrastructure has already led the Bank of England (BoE) to raise its short-term inflation forecasts (now expected to be 3% in Q2, up from 2.1% in February, and 3.5% in Q3). Whilst a rate cut was a possibility before the outbreak of war, the BoE kept its base rate at 3.75% in March. This unanimous decision by its nine members reflects a tougher stance aimed at preventing inflation expectations from becoming unanchored. Whilst it is currently adopting a wait-and-see approach to developments, it is not ruling out any scenario regarding the future direction of its monetary policy, including a possible tightening, as keeping inflation under control remains the priority. We therefore see a high probability of rate hikes this year, perhaps as early as April. The markets, for their part, are expecting more than two rate hikes.

Japan

The Bank of Japan's (BoJ) March meeting confirmed the initial outlook, namely that interest rate hikes are likely to continue. The hawkish bias appears to remain intact, but the pace could be even slower than expected because of the risks looming over economic activity. The committee is awaiting further information to reassess the balance of risks. The BoJ's central scenario, which we share, points to a rebound in core inflation later in the year following a dip in H1 2026 (linked to base effects and energy subsidies). The risks surrounding this scenario are mainly on the upside due to the energy shock. According to Kazuo Ueda, the BoJ governor, further rate hikes are possible even if there is downward pressure on economic activity linked to the energy price shock. However, this will depend on whether the shock is temporary or not, and on its impact on core inflation. Kazuo Ueda also mentioned companies' greater ability to pass on cost increases and the need to monitor the USD/JPY exchange rate, two factors pointing to a bullish bias. Market expectations have not changed significantly since the outbreak of war in Iran, remaining at one rate hike by the July meeting and a 70–90% probability of a second hike by the end of 2026. For our part, we anticipate that the next rate hike will take place as early as in the April meeting.

Emerging markets

In emerging markets, higher inflation is expected across all countries, although the extent of the increase will vary. Several factors will exacerbate the inflationary impact: a significant direct impact of rising global energy prices on national price indices (the share of energy in emerging market consumer price indices is generally high, up to 13%) and spillover effects to other commodities (the risks of a spillover to agricultural prices are rising rapidly). Other factors, **conversely**, are limiting the impact on inflation, including limited currency depreciation against the US dollar, the current cyclical position of emerging economies (which are not overheating), and the existence of subsidies and other mechanisms to mitigate the rise in energy prices for households and businesses.

Since the start of the war, EM central banks have not raised interest rates: monetary authorities in Malaysia and Taiwan have left key interest rates unchanged, against a backdrop of low inflation (1.5% and 1.2% year-on-year respectively in the first two months of 2026); the Indonesian central bank has also left its rates unchanged despite mounting inflationary pressures (+4.8% year-on-year in February). In Brazil, the central bank began its cycle of monetary easing, as was expected before the war (with a Selic rate cut that was, however, smaller than expected, at 25 bp). In South Africa, the rate cut expected in March is likely to be postponed. nflation had begun to rise before the conflict in India (+3.2% y/y in February) and the Philippines (+2.3%), but the central banks of these two countries are not expected to raise their policy rates in the very short term. Similarly, in Chile, Peru and Mexico, they have already concluded their easing cycle, and it is likely that they will opt to keep their rates unchanged at their next meetings.

In Central Europe, the prospects for the moderate easing that was initially anticipated in Poland and Hungary have largely faded. Inflation had returned to the central banks' target in Hungary, Poland and the Czech Republic several months ago. However, a resurgence in inflation is expected as early as March; retail petrol prices are already showing a significant rise (ranging from +1.2% in Slovakia to +12.8% in Poland for petrol). In Romania, the rise is also notable (+11.1%, with prices matching the peak seen in 2022). In Hungary, the cap on petrol prices has not prevented a 6.8% increase for petrol and a 7.1% increase for diesel compared to prices prior to the conflict in the Middle East. Hungary appears to be the country most exposed to inflationary pressures in the region: on the one hand, the ‘food’ category accounts for a significant proportion (over 20%) of the household basket, and on the other, the Hungarian forint is experiencing periods of volatility.

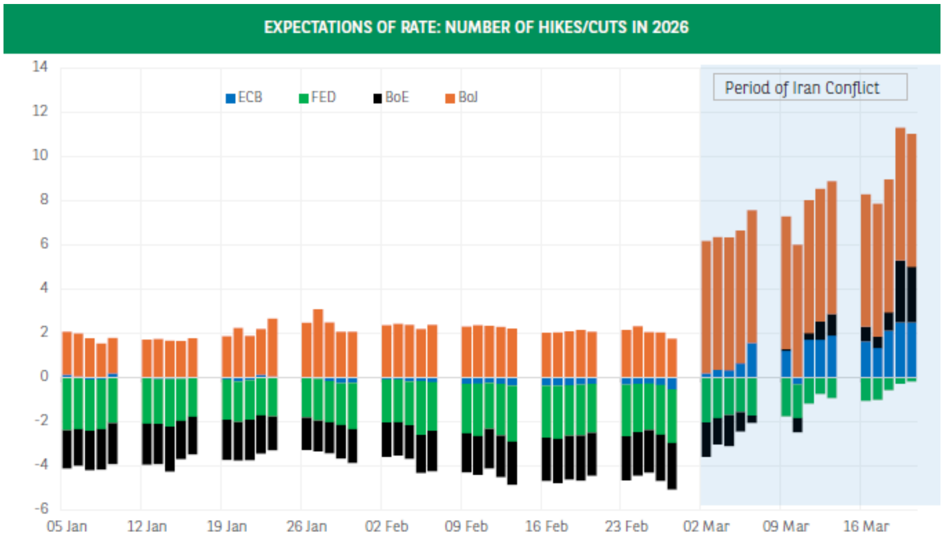


CHART 4

SOURCES : BLOOMBERG WORLD INTEREST RATE PROBABILITIES, BNP PARIBAS

Government responses remain limited for the time being

Fiscal responses from advanced economies remain limited at this stage, constrained by high debt levels and long-term interest rates that exceed those of 2022, in a context where inflation is significantly more subdued than it was at that time. Nevertheless, the duration and scale of energy price rises are increasing political pressure.

In Europe, the European Council stressed the need for a coordinated response and asked the Commission to promptly present a set of targeted, temporary measures to tackle the recent spikes in the price of imported fossil fuels. It also called for concrete steps to lower electricity prices and curb excessive short-term volatility, especially for energy-intensive sectors, while taking into account the different situations across Member States. The Council also wants the Commission to work closely with the Member States to design temporary, targeted national measures that ease the significant impact of fuel costs and related cost components on electricity production costs, as well as the impact of all other cost elements. At the same time, it stressed the importance of preserving long-term investment signals, supporting the acceleration of renewable and low-carbon energy production, and ensuring fair competition within the internal market.

The ECB, for its part, has called for any fiscal measures to be “temporary, targeted and tailored”. So far, apart from the release of strategic reserves as part of the IEA initiative, only Italy and Spain have introduced new measures. The Italian government approved a temporary reinstatement, lasting 20 days, of variable excise duties and fuel-price controls. It also plans, in the longer term, to tax the extra profits earned by energy compagnies. In Spain, the government approved a EUR 5 billion assistance plan containing 80 measures, including a cut in the VAT electricity from 21% to 10% and the removal of other energy taxes. It is also looking to increase LNG imports from Algeria.

Portugal has extended an existing exceptional scheme to reduce fuel taxes. For its part, Germany aims to limit pump-price rises to one per day and to intensify monitoring of those prices. The German government is also considering a levy on the extraordinary profits of oil firms in order to capture part of the gains and fund consumer-aid measures such as high travel allowances. France is considering capping fuel retailers’ margins. Greece has announced plans to cap profit margins on fuel and on major consumer goods for a three-month period.

The **UK** is introducing a highly targeted support package (GBP 53 million for vulnerable households), at a negligible fiscal cost and in an order of magnitude lower than in 2022.2022 levels, in line with its consolidation objective. In **the United States**, the measures include lifting restrictions on foreign vessels transporting goods between US ports for ships carrying hydrocarbons and raw materials, and easing economic sanctions on oil (from Russia, Venezuela, and possibly soon Iran). Finally, **Japan** stands out for its more proactive approach, which includes the release of oil reserves, subsidies to stabilise petrol prices and the possibility of intervening in the foreign exchange market in the event of high JPY volatility. Overall, this limited fiscal support is likely to only partially alleviate the negative shock to demand, while also somewhat mitigating the disinflationary effect, which complicates the central banks’ ability to respond.

In emerging economies, more governments are taking action by either introducing or expanding subsidies or mechanisms designed to mitigate the impact of the energy crisis on households (such as Hungary, Croatia, Türkiye, Indonesia, Taiwan, South Korea, Vietnam, China). For instance, on 10 March 2026, the Hungarian government implemented a cap on fuel prices (applicable only to vehicles registered in Hungary). The tax on petroleum products has also been reduced, but this represents a shortfall in tax revenue and is expected to exacerbate the budget deficit this year (-5.5% of GDP).

Advanced economies: comparison with 2022

On the inflation front, significant price pressures emerged as early as 2021 due to the post-Covid recovery (a rebound in demand, supply chain disruptions linked, in particular, to the prolonged lockdown in China). This was compounded by a rise in gas prices resulting from the gradual decline in Russian supplies. By January 2022, this had resulted in headline inflation of 5.1% y/y in the Eurozone and 7.6% in the United States, a rise that was further exacerbated by the outbreak of war in Ukraine. Headline harmonised inflation in the Eurozone peaked in October 2022 (10.6% y/y), while core inflation peaked in March 2023 (5.7%). Our four inflation scenarios remain, at this stage, more moderate than in 2022.

On the fiscal front, the governments of the major advanced economies implemented support measures on an unprecedented scale in 2022; the most costly of these was the introduction of direct energy price subsidies, which took the form of price caps or reductions on gas and electricity (the 'energy price guarantee' in the United Kingdom, VAT reductions in Italy and Germany, a tariff shield in France, and the 'Iberian exception' in Spain). Reductions in fuel taxes were also introduced (France, Spain), as well as direct transfers to households (energy vouchers in France, a €300 payment to employees in Germany). In the United States, the main measures focused on supply, notably through the energy component of the Inflation Reduction Act (2022), for long-term investments in the energy transition for households and businesses. The current response is therefore comparatively much more limited (to date, only measures to cap price rises at the pump have been announced in Germany and Japan), while the UK has established a £53 million fund for households that heat their homes with domestic heating oil.

On the monetary front, the central banks' response to the 2022 shock came against a backdrop of already high inflation, which the Fed and the ECB nevertheless described as 'transitory'. Unlike the present situation, key interest rates were at historically low levels following further easing to mitigate the impact of Covid-19. Furthermore, in the case of the United States, demand was strong enough for the Fed to pursue a slowdown in order to rebalance with supply. The sharp acceleration in inflation following the outbreak of war in Ukraine has forced central banks to react decisively. Consequently, the Fed raised its rates by a total of 550 basis points between March 2022 and July 2023, and the ECB by 450 basis points between July 2022 and September 2023. The monetary cycle is now significantly less accommodative overall, giving central banks a better starting position and, consequently, greater control to curb any second-round effects.

Conclusion

The coming weeks will be crucial for assessing the impact of this war.

The key points to watch, beyond developments on the ground and fluctuations in energy prices, will specifically concern:

- The extent of second-round effects and the potential emergence of bottlenecks in other commodity markets
- Changes in businesses' expectations regarding their selling prices, in the face of rising production costs and shrinking margins
- The likelihood of a spillover from a supply shock to a demand shock, which might first become apparent in changes to confidence indicators (household confidence surveys, PMI indices) and, in the medium term, in wage trends
- The knock-on effects of the conflict on other sectors of the economy (public finances, private credit)

Article completed on 20 March 2026

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Charts: Tarik Rharrab

CHART
OF THE WEEK

18 March 2026

CENTRAL EUROPEAN ECONOMIES ARE PERFORMING WELL DESPITE SIGNIFICANT DEMOGRAPHIC CHALLENGES

Cynthia Kalasopatan Antoine

Diverse demographic situations, mostly unfavourable

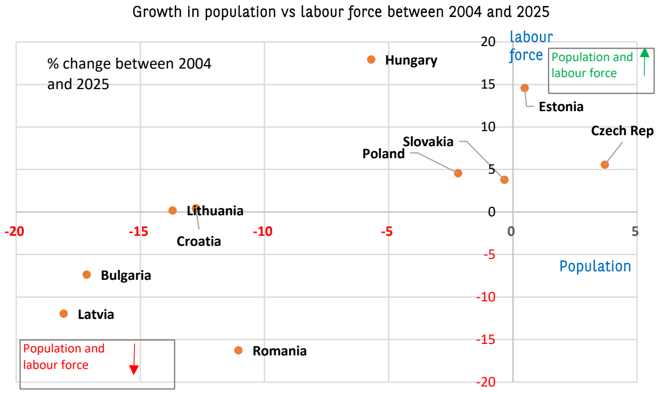

CHART 1 SOURCE: EUROSTAT, NATIONAL STATISTICS, CALCULATIONS BNP PARIBAS

Note: Data for the working-age population is available up to Q3 2025. For the total population, data is available for Poland, Hungary and Slovakia in 2025; for other countries, data is projected for 2025.

Central Europe's gain in market share in Germany

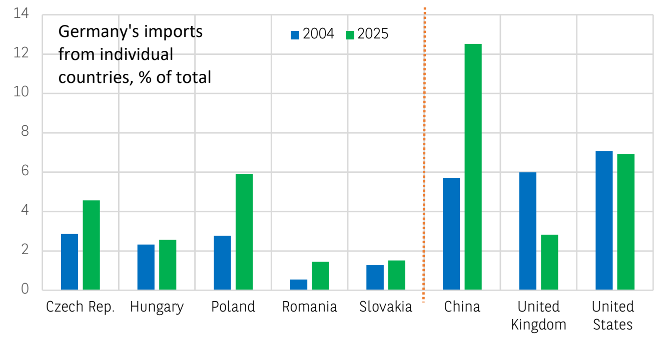

CHART 2 SOURCE: STATISTISCHES BUNDESAMT, CALCULATIONS BNP PARIBAS

Adverse demographic trends. For several years, Central Europe has been facing a marked demographic decline. Its magnitude varies from one country to another (see *Chart 1*). The total population decline from 2004 to 2025 ranges from -0.3% in Slovakia to -17.2% in Bulgaria. The Czech Republic is the only country in the region to have seen a population increase over the same period. The working-age population (ages 15–64) is also declining. However, the situation is less unfavourable in Hungary, Poland, the Czech Republic and Slovakia, while Romania and Bulgaria are experiencing a more significant decline due to migration patterns. Net migration flows were negative for Bulgaria until 2019 and for Romania until 2021. However, this trend has reversed in recent years. Recently, the arrival of Ukrainian refugees has eased the pressure on the working-age population, especially in Poland and the Czech Republic. Ukrainian refugees now account for around 5% of the workforce in Poland.

Medium-term concerns. By 2030, demographic trends are expected to deteriorate further, raising concerns about potential upward wage pressures, a loss of competitiveness and a structural weakening of potential growth.

Additional assets to underpin growth. Despite demographic headwinds, the economies of Central Europe have fared rather well so far, primarily due to several key factors:

1) The influx of EU funds (approximately EUR 430 billion between 2004 and 2024, or 20% of GDP). Support from EU funds is expected to continue, and these countries will remain net beneficiaries in the medium term.

2) Over the past two decades, productivity growth has outpaced wage costs. This has enabled Central European countries to gain market share in Germany (see *Chart 2*), as well as to achieve notable economic convergence with developed economies.

3) A skilled workforce (secondary and higher education graduates account for around 90% of total employment).

Certain strategic sectors, such as electric mobility, AI and defence, are projected to continue attracting foreign direct investment. Hungary and Poland aim to become regional powerhouses in electric mobility, particularly through the production of batteries for electric vehicles. When it comes to AI, Central European countries already have high-performance digital infrastructure, and governments in the region are implementing highly ambitious strategies (see the sections on Hungary and Poland in our 'Emerging Economies EcoPerspectives from March 2026). They have therefore drawn up national plans focused on AI to position their respective countries as key investment hubs.

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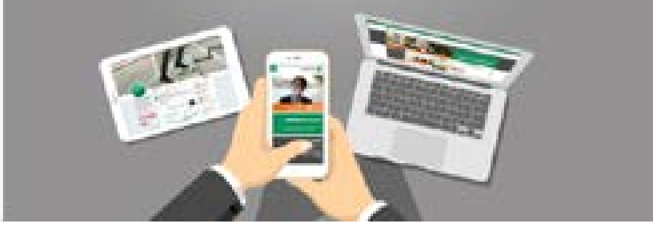

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